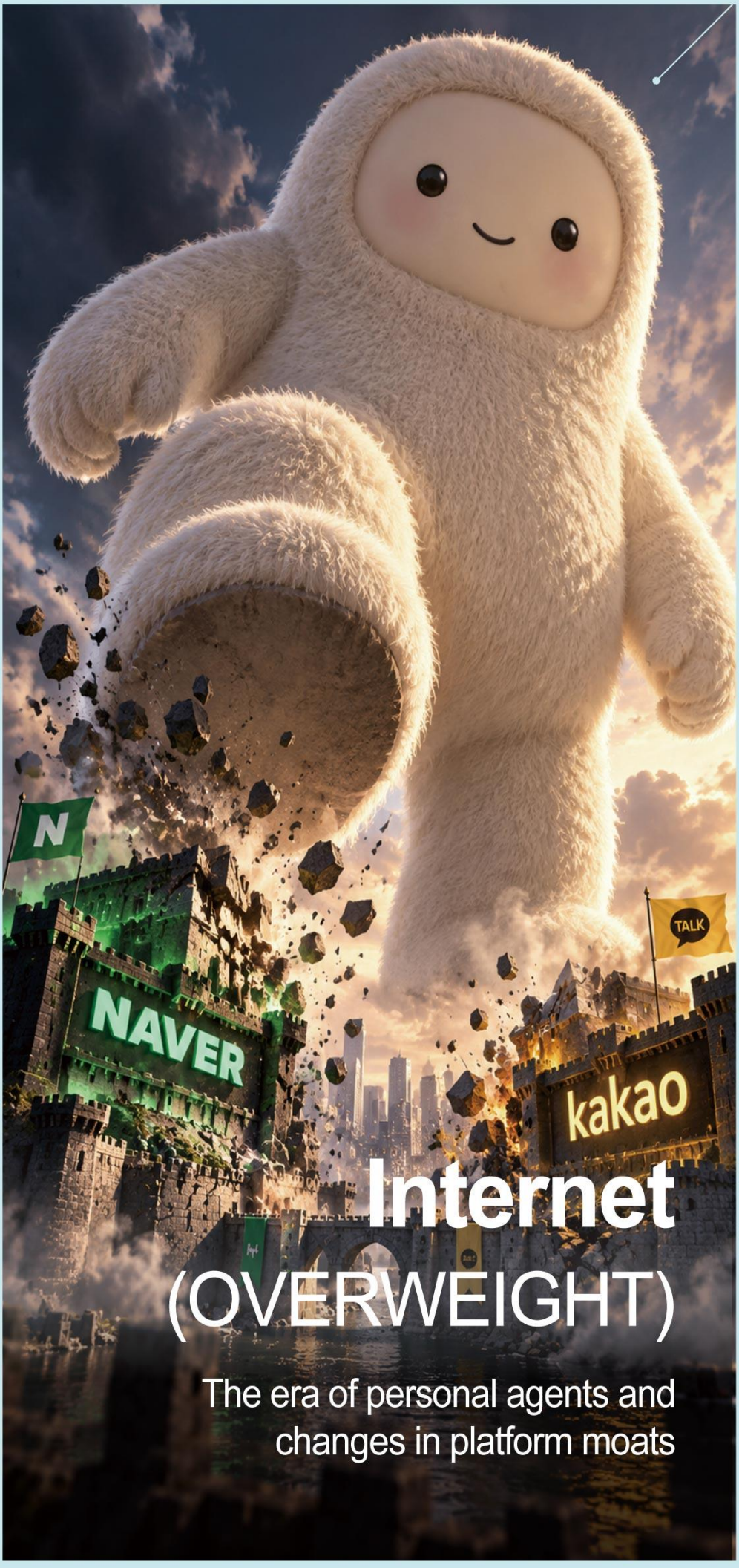
SECTOR UPDATE

2026. 10. 27

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Internet (OVERWEIGHT)

The era of personal agents and changes in platform moats

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Samsung Securities

REPORT
CONTENTS

PART 01

The rise of personal agents and the crisis facing domestic platforms

Meta Platforms' Muse, launched in September, is a personal agent that directly handles reservations, form submissions, and purchases within a dedicated cloud virtual machine. As agents take over search, comparison, and payments, the value chain should shift from: 1) User → Search/Shopping/Messaging → Service; to 2) User → Agent → Service, eroding the traditional front-end moat built on traffic. The critical question is no longer who has the best vertical services, but who can capture sales across the value chain after losing control of the frontend.

PART 02

Naver: From frontend to infrastructure

Naver is not immune to weakening demand for its search and commerce frontends. While it has introduced an AI tab to defend its position, the more significant shift is its expansion beyond the frontend. AI Factory (compute), NPay Connect (offline merchants), and Dunamu (digital assets) represent critical infrastructure through which transactions and computations must pass, regardless of which agent ultimately wins. Although increased investment is pressuring near-term earnings, we believe securing indispensable infrastructure is the right strategic direction.

PART 03

Kakao: Strategic shift needed towards business social graph

Kakao is adding Kanana Space and PC-based Kanvas to Kanana in KakaoTalk, which initiates suggestions based on conversational context, as it enters competition with global personal agents such as Muse. However, Kanana Space's execution scope is limited by its reliance on partner APIs, while Kanvas faces accessibility constraints. Rather than competing in general-purpose AI, Kakao's strategic path should be to expand its social graph from personal connections to businesses, stores, and services, creating a business social graph. In this area, its partnership-driven integrations become a distinct advantage.

PART 04

Conclusion and investment strategy

The winner in the personal-agent era is unlikely to be the platform with the highest traffic or the most advanced AI, but rather the company that controls assets within the value chain that cannot be bypassed. From this perspective, we expect Naver to maintain a comparative advantage. Although we cut our target price for Naver from KRW280,000 to KRW250,000 to reflect front-end erosion and a probable near-term earnings slowdown, we maintain BUY based on the long-term potential of its new businesses—AI infrastructure, offline merchant networks, and digital assets. We maintain our HOLD rating on Kakao and lower our 12-month target price from KRW40,000 to KRW35,000, reflecting the unproven execution capabilities of its new AI agents and spin-off-related risks.

Center of AI competition shifts from intelligence to touchpoints and execution

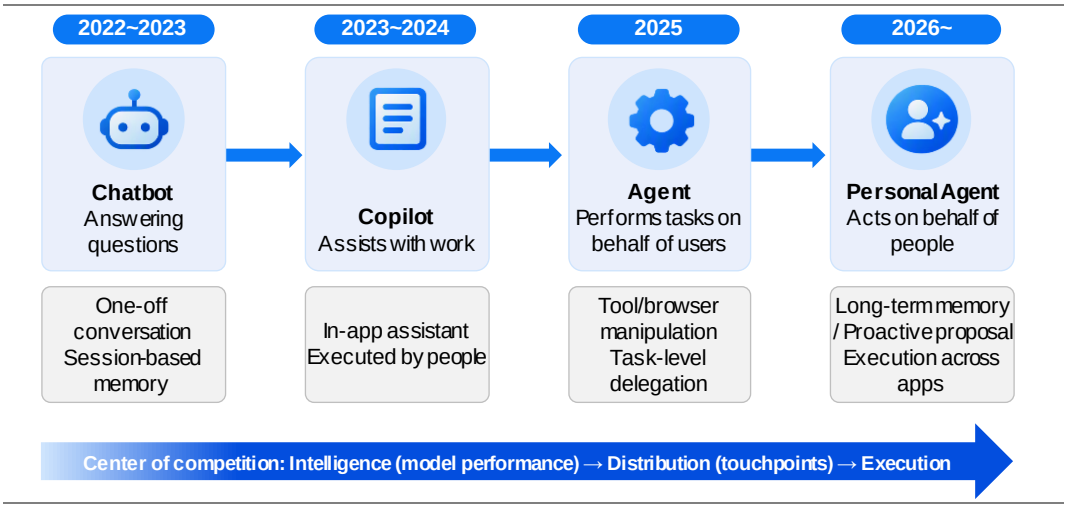
Muse shock: The emergence of the personal agent market

1. From search to action

Generative AI services have evolved through four stages. Between 2022 and 2023, chatbots served as tools that answered questions. From 2023 to 2024, copilots assisted with tasks within specific apps—documents, code, and emails—but humans remained the primary actors. By 2025, agents began directly manipulating browsers and tools, taking on delegated tasks.

In 2026, personal agents have taken this evolution a step further. Rather than simply performing individual tasks, they act on users' behalf. They retain long-term personal memory, proactively anticipate user needs, provide tailored recommendations, and execute actions across multiple apps and services, completing entire workflows end-to-end. The distinction between AI that answers questions and AI that acts on users' behalf represents a fundamental divergence in business models.

Evolution of AI services: From answering to executing



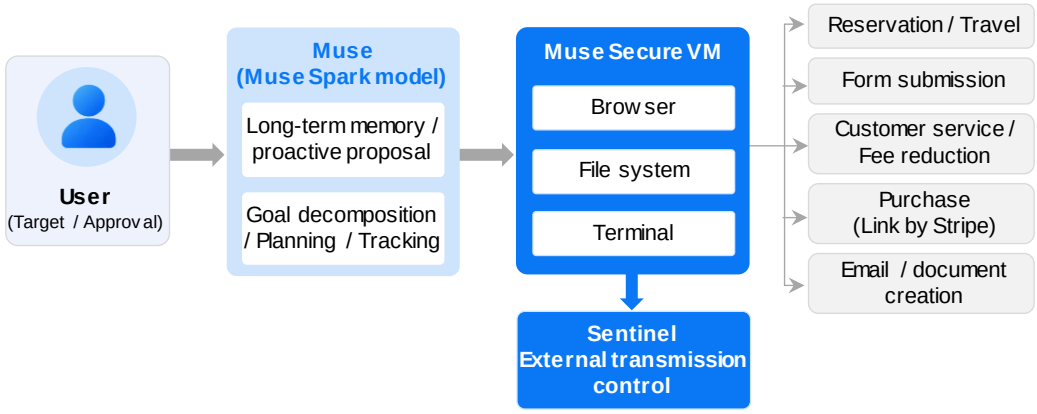
Source: Samsung Securities

Muse is not an AI that answers—it's an AI that works for you

In Sep 2026, Meta Platforms launched Muse in the US across iOS, Android, the web, and WhatsApp. Meta defines Muse not as a question-answering AI, but as a personal agent that performs tasks across multiple applications on the user's behalf, including sending emails, booking travel, filling out forms, negotiating bill reductions, and making purchases. Even after the user closes the app, Muse continues to break larger goals into actionable plans, track progress, and re-engage when circumstances change or approval is needed.

The most notable structural feature is its execution environment. Muse operates within a dedicated cloud virtual machine (VM) called Muse Secure VM, which provides direct access to browsers, file systems, and terminals. It navigates websites, fills out forms, and even generates custom tools as needed. A separate system called Sentinel controls all outbound data, while payments are processed through Link by Stripe using one-time-use virtual cards, ensuring that merchants never see the user's actual payment details. In essence, Muse eliminates the need for API integrations by interacting with services as a human would—through standard web interfaces.

Muse's operating structure: Memory → Planning → Execution in a Dedicated VM



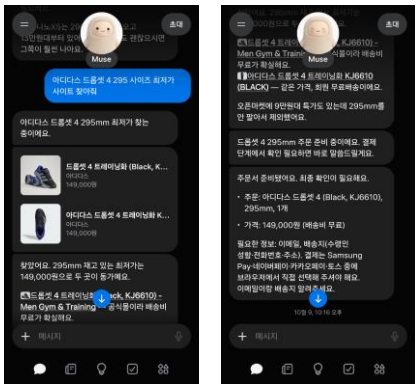
Source: Meta, Samsung Securities

Meta Muse: Key specifications

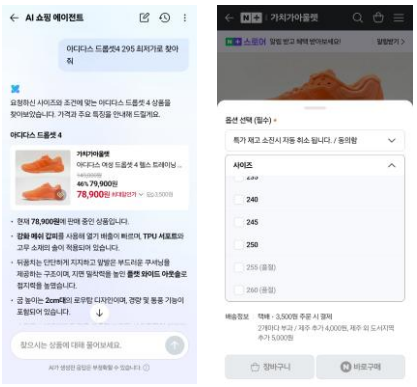
Category	Content	Implications
Launch	September 2026, US iOS, Android, web, and WhatsApp	Directly embedded in a messenger with a user base of over 3b.
Model	Muse Spark (Meta's latest model)	Competition will focus on deployment and execution rather than model competition.
Execution Environment	Muse Secure VM: Browser, file system, terminal	Utilizes the web interface as-is without API partnerships.
Memory & Personalization	Past conversation memory, proactive suggestions, and settings for name, avatar, and proactivity.	Designed as a long-term relational service
Security & Payments	Sentinel transmission control, Link by Stripe single-use cards	Beginning to form the standard for agent payments
Price	Free / Power $20/month / Maximum $100/month	Mostly free usage assumed → Traffic absorption

Source: Meta, Samsung Securities

Meta Muse vs Naver Shopping AI Agent



Meta Muse: Search for accurate products by browsing public sites – handle purchases upon approval



Naver shopping agent: searches for products from merchants on Naver. However, accuracy is low and it fails to find the desired product accurately

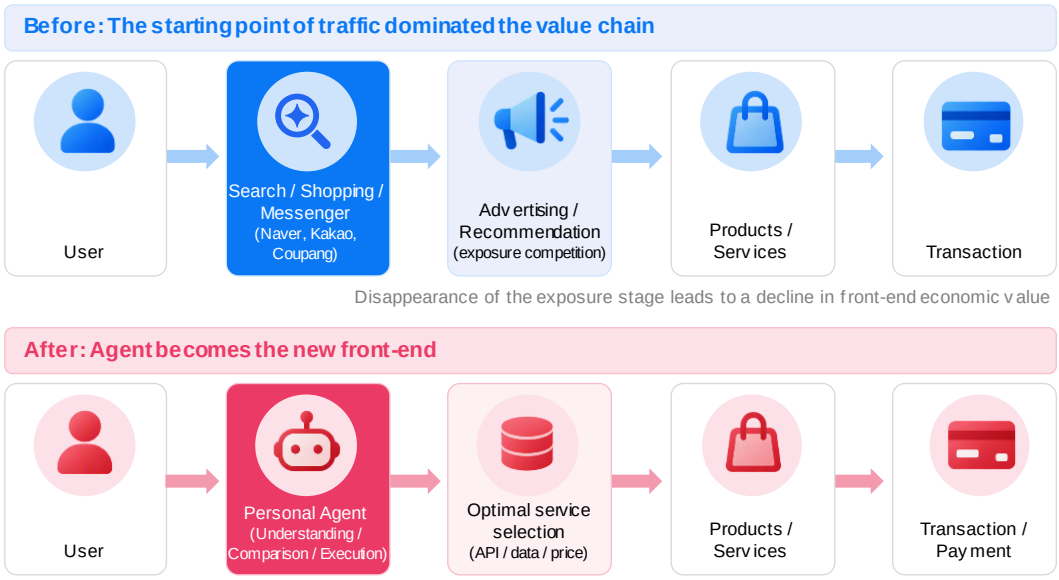
Source: Meta, Naver, Samsung Securities

2. The most valuable asset in platform industries has changed

For the past two decades, the internet industry has operated on a simple principle: whoever controlled the entry point for traffic controlled the value chain. Search was dominated by Naver, messaging by Kakao, and e-commerce by Naver and Coupang, with each securing its own frontend, where advertising exposure and transaction-fee revenue were concentrated. Product and service providers had little choice but to pay to reach users through these frontends.

Personal agents disrupt this structure by eliminating the middle layer (the exposure stage). Users no longer need to view search-result pages or product listings in shopping apps. Instead, agents interpret user intent, compare prices/reviews/inventory across multiple providers, select the optimal option, and complete the transaction—carrying out all of these steps without human intervention. As the exposure stage disappears, the advertising model built on competition for exposure loses its economic foundation.

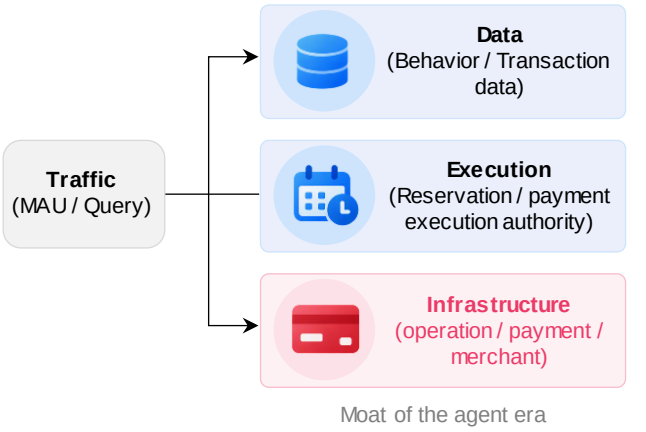
Changes in the internet value chain after the introduction of personal AI agents



Source: Samsung Securities

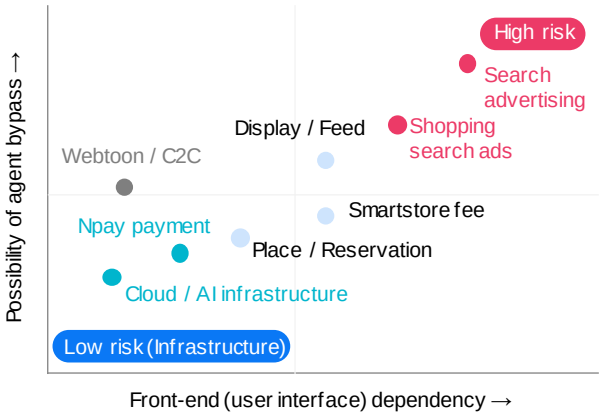
As the value of the frontend declines, sources of competitive advantage shift. First is data, but not all data: only data that lead to actions and transactions should retain value. Second is execution: businesses with the authority and connectivity to execute reservations, orders, and payments become unavoidable gateways for agents. Third is infrastructure: agents require computing resources, while every transaction requires payment and settlement systems. Ultimately, the critical question has shifted from "Who owns the user's first screen?" to "Who controls the essential checkpoints that agents must pass through?" This perspective forms the basis for our evaluation of Naver and Kakao.

Shift in platform moat



Source: Samsung Securities

Naver business-specific agent bypass exposure



Source: Samsung Securities

3. Having vertical strength does not guarantee security

Naver has strong vertical services—including e-commerce (Smart Store and Plus Store), Naver Place, reservations, and content—that can serve as a defensive barrier and help maintain some competitiveness against global agent incursions. However, the survival of vertical services does not necessarily mean retaining control of the frontend.

Consider a scenario in which an external agent uses Naver's product and Naver Place data to provide only the final recommendation to the user. Naver would remain a supplier, but its frontend revenue streams, including search ads, shopping search ads, and recommended placements, would weaken. While transaction fees from Smart Store may persist, advertising spending previously paid by sellers for exposure could shift towards Agent Answer Engine Optimization (AEO) costs or fees paid directly to the agent platform.

Viewed through the lens of frontend dependency and agent bypass risk, Naver's search ads and shopping search ads fall into the highest-risk category. In contrast, infrastructure businesses such as payments and cloud services are in the low-risk category, as demand should be unaffected by which agent ultimately wins. If Naver loses ground in the personal AI agent race and the value of its frontend erodes, its advertising revenue could come under pressure.

Kakao faces the same fundamental challenge. Kakao owns a suite of lifestyle verticals linked to KakaoTalk, including Gifting, Kakao Deal (e-commerce), Kakao T (mobility), Kakao Pay (payments), and Kakao Channel reservations. However, if an external agent receives a user request and directly books a Kakao T taxi or purchases a gift through Gifting, Kakao's vertical services may remain suppliers, but users' incentive to access them through KakaoTalk as a frontend diminishes.

However, the nature of Kakao's risk differs from Naver's. While Naver faces the risk of users bypassing its search and shopping frontends, Kakao faces potential stagnation in the value of its messaging frontend. Human-to-human communication remains difficult for agents to replicate, so overall messaging usage is likely to persist. However, Kakao's revenue depends on ad impressions, business messaging, and e-commerce exposure, all of which are tied to user dwell time. As agents increasingly handle discovery and execution on users' behalf, monthly active users (MAUs) may remain stable, but the economic value of ad placements and e-commerce exposure should gradually shift to agents.

Ultimately, Kakao faces the same core question: is it more important to defend KakaoTalk as a frontend or to secure assets within the value chain that agents cannot bypass? Given that Kakao's strongest asset is Koreans' social graph, its ability to extend this network from personal relationships to connections among individuals, businesses, and services should determine its competitiveness in the agent era.

Overcoming the frontend crisis through new business growth

Naver: From frontend to infrastructure

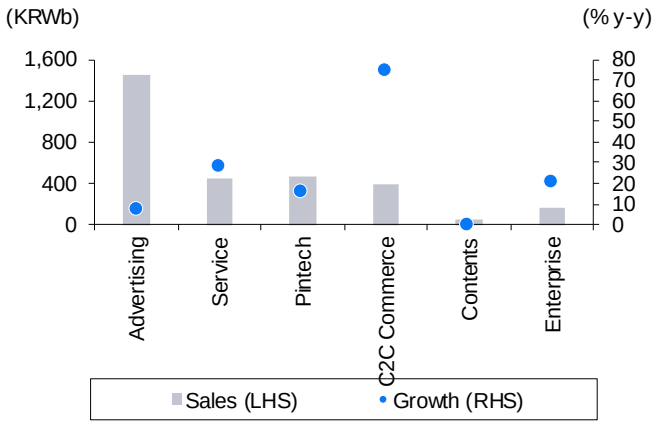
Naver's greatest challenge

As of 2Q26, advertising accounted for 56% of Naver's total revenue. Given the high profitability of the advertising business, we estimate that it generates more than 80% of the firm's operating profit. Its core drivers, search advertising and shopping search advertising, rely on the assumption that users enter queries into Naver's search bar and view the results page. If personal agents begin replacing users in conducting searches, comparing products, and researching prices, this fundamental premise would be undermined.

Naver is responding to this shift in search demand with AI chatbots and agents. Last year, it launched AI Briefing, an AI-powered search summarization service built on its proprietary AI model. In June this year, it officially launched AI Tab, a conversational AI search service. By Jul 2026, AI Tab had surpassed 10m cumulative users. Since the official launch, daily queries have increased sevenfold from the beta phase, while queries per user have risen 1.7x. Naver has integrated a direct link to AI Tab beneath AI Briefing, which now serves more than 30m monthly users, and is sequentially rolling out specialized agents for real-estate search and Whale (its web browser). The AI Briefing ad format, fully deployed by late July, has delivered a more than 30% higher click-through rate and over 3x higher purchase conversion rate than traditional search ads.

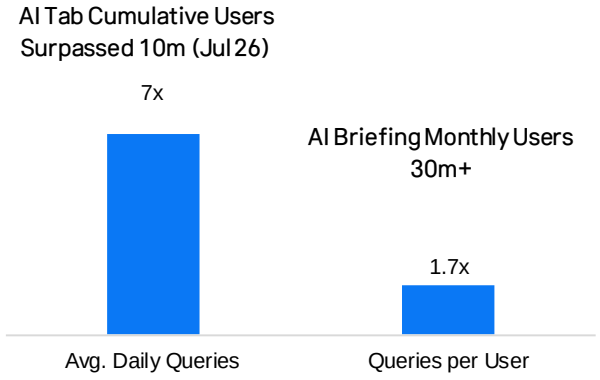
Naver's launch of AI-powered search services is primarily defensive, aimed at retaining search demand—that might otherwise migrate to global platforms—within its ecosystem. However, competition in personal agents is structurally favorable to players that control operating systems, devices, and frontier AI models. While AI Tab may slow user attrition in Korea, it alone cannot reverse the erosion of Naver's frontend dominance. In response, Naver is developing three alternative revenue pathways, each designed to generate value even as its frontend influence diminishes.

Naver: Sales in 2Q26



Source: Naver, Samsung Securities

Naver AI Tab: Key metrics



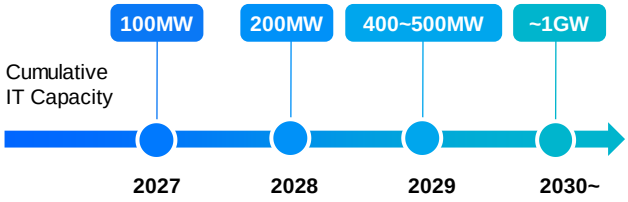
Source: Naver, Samsung Securities

First escape route: AI Factory — From frontend to compute infrastructure

Regardless of which AI agent ultimately wins, the proliferation of AI services should drive a surge in compute demand. Agents consume far more tokens than chatbots: they plan tasks, navigate the web, validate results, and continue operating in the background even after users close their apps. Naver's AI Factory is not merely a data center business; it represents a strategic expansion into the lower layers of the AI value chain.

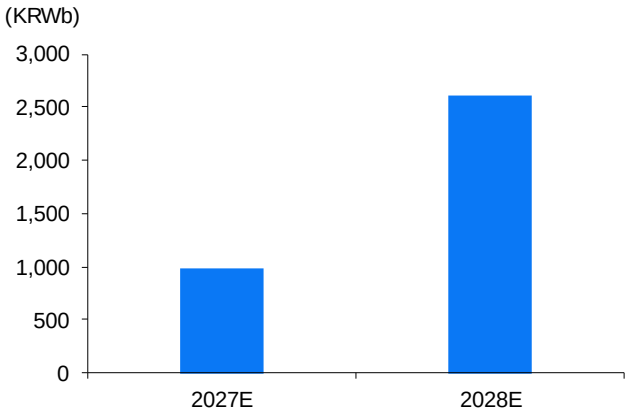
In Jul 2026, Naver formalized a strategic partnership with Nvidia to accelerate its AI Factory initiative. Nvidia is making a USD1b strategic investment in Naver, while Brookfield plans to provide up to USD9b in funding through a special-purpose vehicle (SPV). Naver aims to finalize contracts with global clients by year-end, with initial operations commencing at 55 MW in 1H27, scaling to 100 MW by end-2027 and 200 MW by end-2028. Longer term, Naver aims to expand capacity to 1 GW through domestic and international data center acquisitions.

Naver's AI Factory: Capacity roadmap



Source: Naver, Samsung Securities

Naver's AI Factory: Sales estimates



Source: Samsung Securities estimates

Our report, "AI Factory: A Golden Goose?" (Oct 7, 2026), concludes that Naver's AI Factory is positioned to achieve sustainable profitability.

The first rationale for Naver AI Factory's profitability is its ability to bring capacity to market quickly during a supply shortage. Excess profits in AI infrastructure stem from scarcity premiums. With average grid connection times exceeding five years, supply shortages are likely to persist for the next two- to three years. Naver has established a concrete roadmap: 55 MW in 1H27, 100 MW by end-2027, and 200 MW by end-2028. For the first 200 MW, Naver has secured power and land through colocation leases with LG CNS and Daou Tech and locked in GPU supply agreements alongside the Brookfield SPV funding. In contrast, most other announced Korean projects lack firm customer commitments, power access, or capital backing. In a market where early movers with secured off-takers can capture premium pricing amid excess demand, Naver is favorably positioned.

The second rationale is its contract mix and asset-light structure. Recent GPU leasing contracts show significant variation in annualized revenue per MW: USD10m for long-term, large-scale contracts; USD20m-25m for one- to three-year contracts; and USD40-50m for short-term agreements. The estimated annual economic cost of a 100 MW facility is approximately KRW1.17b. Profitability is limited under long-term contracts alone, while blending short-term leases enables revenue of 2-3x costs. Naver's strategy combines anchor long-term contracts with flexible short-term rentals. Crucially, IT infrastructure, including GPUs, and colocation rights are owned by the SPV, while Naver retains only operational control. This structure spares Naver from USD4.4b in direct capex for 100 MW. Depreciation and capital costs are replaced by SPV lease payments, reducing the financial burden and boosting ROE. In addition, rising GPU rental rates and longer economic lifespans of older GPUs further shorten payback periods.

That said, Naver's ultimate profitability hinges on the terms of its anchor customer contracts. The value of Naver's AI Factory should therefore be assessed based on the pricing, duration, and upfront-payment terms of customer agreements that are expected to be finalized this year.

Second escape route: From online to offline

Naver is expanding its business from online to offline markets. Its recently launched offline payment terminal Npay Connect is a key component of this offline expansion strategy. Npay Connect is a multimodal payment device that supports cash, credit cards, QR codes, digital wallets, NFC, and facial recognition (FaceSign). Unlike traditional point-of-sale (POS) systems, it can be easily integrated without replacing existing hardware. Its key advantages—enabling keyword reviews immediately after payment without receipt verification and issuing and applying coupons at the point of sale—have driven rapid merchant adoption. At its launch in Nov 2025, approximately 2,200 stores had pre-registered. By end-Jun 2026, the number of active merchants had exceeded 100,000, with 52,000 new installations added in the previous three months.

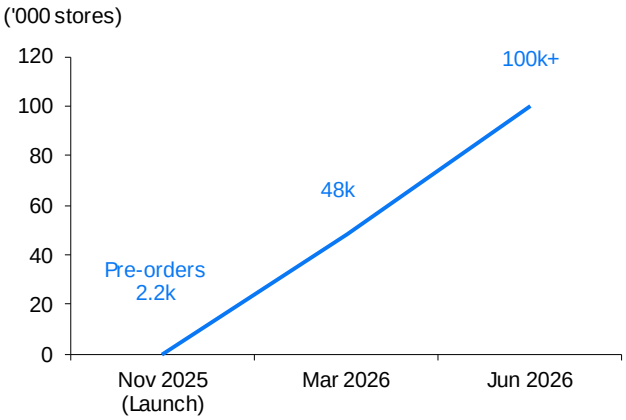
The impact is already evident in marketing metrics. Among the top-five merchants in each sector, post-adoption review volumes increased 230% for restaurants, 157% for beauty salons, and 132% for cafes and bakeries. In 2H26, Naver plans to expand to major franchises, starting with Paris Baguette, followed by Baskin-Robbins, CJ Foodville, and The Venti. By year-end, it aims to complete partnerships with all value-added network (VAN) providers. In its 2Q26 earnings call, Naver explicitly positioned this initiative as an entry into the Merchant AI Platform business.

Npay Connect



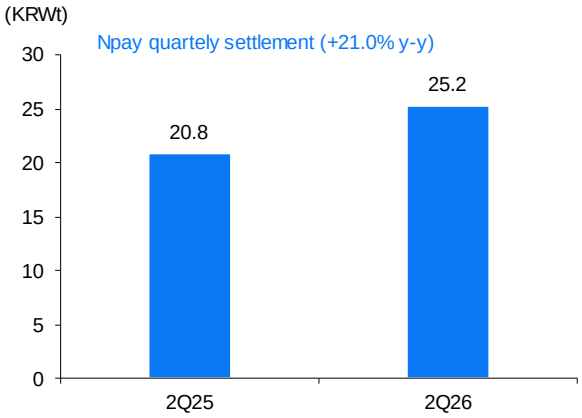
Source: Naver Pay, media materials, Samsung Securities

Number of merchants using Npay Connect



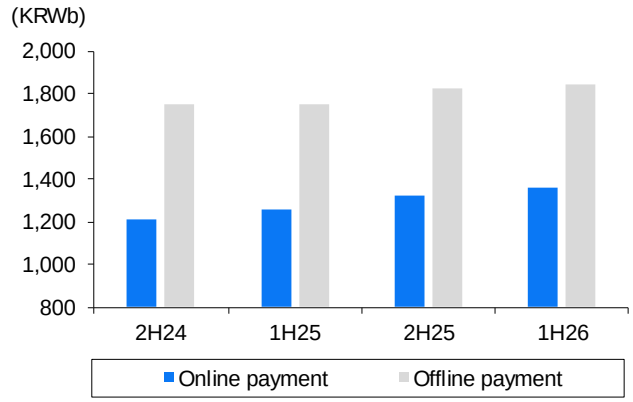
Source: Naver, Samsung Securities

Npay Connect: Quarterly payment volume



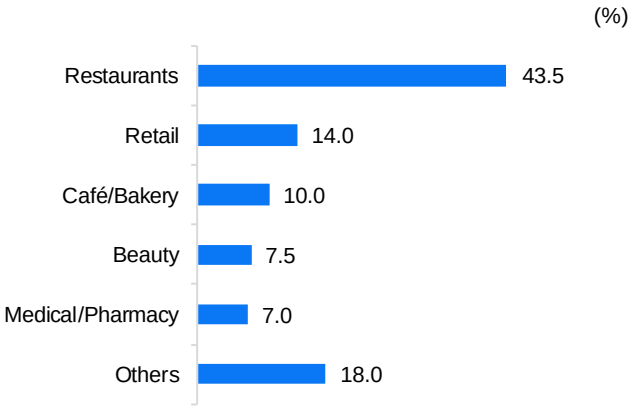
Source: Naver Pay, media materials, Samsung Securities

Online payment market vs offline payment market



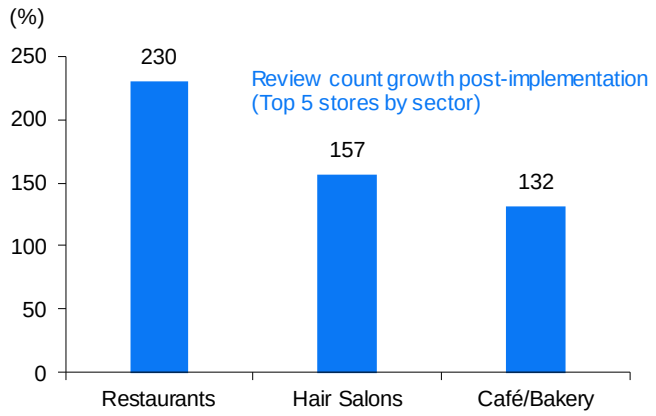
Note: Based on average daily transaction volume
Source: Bank of Korea, Samsung Securities

Npay Connect merchant composition



Source: Naver Pay, Samsung Securities

Impact of Npay Connect adoption



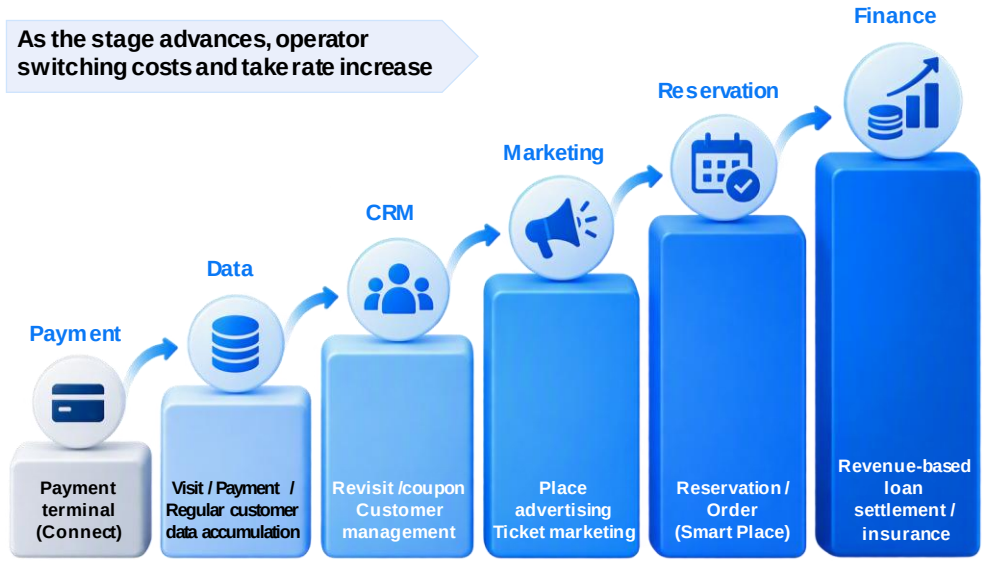
Source: Naver Pay, Samsung Securities

The true value of Npay Connect extends beyond payment-processing fees. While active use of N-points for offline payments could generate transaction fees of 1-2% from merchants, Naver's broader vision is to link offline ordering, payment, and loyalty data with its existing Naver Place search and reservation systems, ultimately creating an integrated platform that unifies reservations, ordering, payments, customer relationship management (CRM), and marketing for individual stores.

This evolution unfolds in stages:
Payment → generates visit, transaction, and repeat-customer data;
Data → supports CRM and targeted advertising through Naver Place;
Marketing → connects with reservation and ordering functions on SmartPlace;
Finance → expands into lending and settlement services based on sales history.

As each layer is added, both merchant switching costs and Naver's take rate increase. Replacing a payment terminal is relatively easy, but integrating loyalty data, reservation systems, and financing into a single platform creates substantial lock-in effects. If Naver becomes the *de facto* operating system for small merchants, it can monetize transactions at the backend even if external agents control the consumer frontend. For example, when an agent receives a request to "reserve dinner for four near Gangnam Station," ownership of the frontend becomes less important if Naver's system receives the reservation, processes the payment, and sends a return-visit coupon.

Npay Connect: Merchant platform expansion path



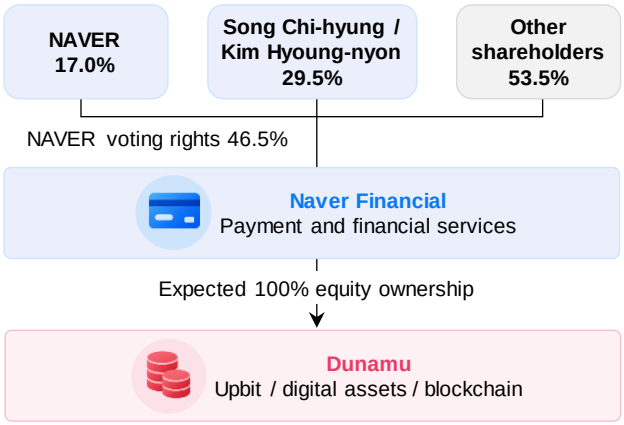
Source: Samsung Securities

Third escape route: Merger with Dunamu and entry into the digital asset market

The third pillar is blockchain-based digital finance. Once the merger between Dunamu and Naver Financial is finalized, Npay and digital assets (running on blockchains) should operate under a unified corporate structure. This integration positions Naver to capture emerging payment models in the agent-driven economy. As agents increasingly transact on behalf of humans, new demand should emerge for: 1) real-time settlement in KRW stablecoins; 2) automated micropayments between agents (agent-to-agent); and 3) programmable payments triggered only when predefined conditions are met (*eg*, escrow, subscriptions, and performance-based payouts). As traditional credit card networks were designed around human-initiated manual authorization, the rails for machine-driven payments remain largely unoccupied.

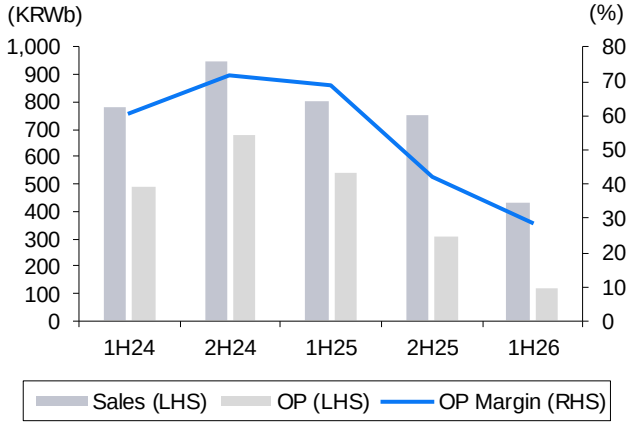
However, the timeline for domestic stablecoin regulation and regulatory approval of the merger remains uncertain. Naver recently postponed the shareholder approval and closing date for the comprehensive share exchange between Naver Financial and Dunamu to Mar 2027, marking the third delay. The delay reflects slow progress on the Democratic Party's second phase of the Digital Assets Basic Act and a prolonged review by the Fair Trade Commission (FTC). Given that the new business direction depends heavily on government policy, we believe it is more appropriate to view the digital asset initiative involving Dunamu not as a direct contributor to earnings forecasts, but as a call option that enables Naver to secure future financial and transaction infrastructure.

Naver Financial, Dunamu merger structure



Source: Naver, Samsung Securities

Dunamu: Earnings



Source: Dunamu

Naver Financial-Dunamu merger progress

Date	Key Details
2025.11.26	Approved comprehensive share exchange at the boards of both companies.
2025.11.27	Announcement of transaction: It was decided to exchange 2.5422618 shares of Naver Financial for each share of Dunamu.
2025.11.28	KFTC initiates merger review
2026.03.30	1st postponement: The stock exchange completion date is postponed from June 30 to September 30.
2026.07.06	Second postponement: Completion date moved from September 30 to December 31.
2026.07.24	Regulatory Rationalization Committee recommends establishing an exception to the major shareholder eligibility regulations for virtual asset service providers.
2026.10.07	3rd postponement: The completion date has been changed to March 31, 2027.
2027.02.26	Special shareholders' meeting for approval of comprehensive share exchange scheduled
2027.03.31	Scheduled completion of comprehensive share exchange

Source: Each company, media materials, Samsung Securities

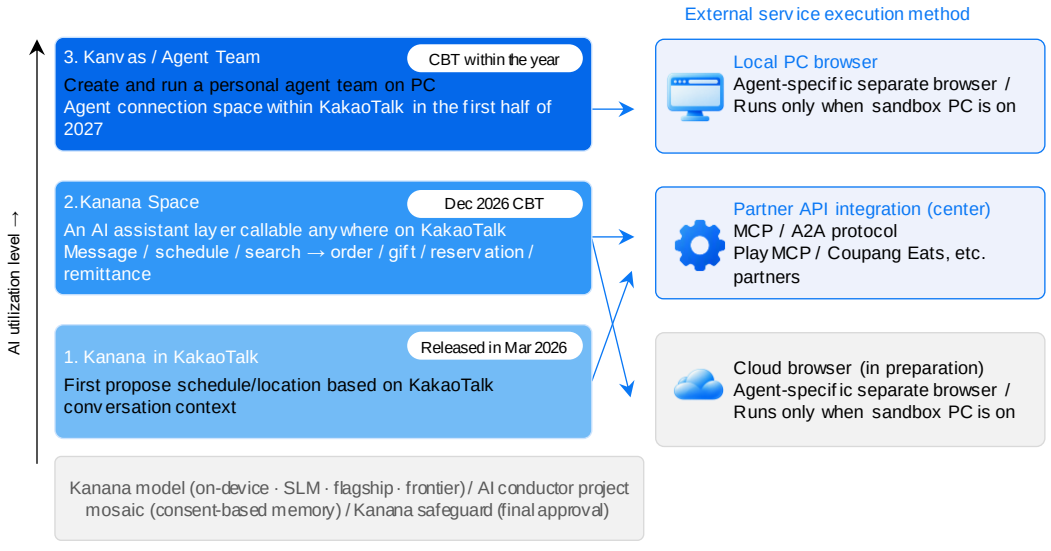
Reconfiguring agent strategy through a new interface

Kakao enters the personal AI agent market

Kakao's AI strategy: Transforming KakaoTalk into an 'agentic AI interface'

Following the Mar 2026 launch of 'Kanana in KakaoTalk,' which analyzes chat context to proactively suggest schedules and locations, Kakao unveiled an expanded agent strategy at its annual developer conference, 'IF Kakao 2026,' on Oct 13. The updated roadmap introduces a new service layer called 'Kanana Space' alongside 'Kanvas,' a PC-based agent service. CEO Shina Chung announced plans to transform KakaoTalk into an agentic AI interface, marking a shift from traditional graphical user interfaces (GUIs), in which users manually navigate and click menus, to language user interfaces (LUIs), which process requests based on natural language and user intent. Kakao discontinued its standalone AI app, Kanana, on Oct 15 to focus its AI capabilities within KakaoTalk.

Kakao AI layer structure and external service execution method



Source: Kakao, Samsung Securities

Kakao's AI agent comprises three layers tailored to users' levels of AI engagement.

First, Kanana in KakaoTalk is a proactive AI that initiates suggestions based on conversational context. It operates as an on-device AI by downloading a small language model (SLM) directly to smartphones, enabling analysis and service recommendations, such as product suggestions or calendar entries, without transmitting sensitive conversation data to external servers.

Second, Kanana Space is an AI assistant layer accessible from any KakaoTalk screen with a two-finger swipe. It handles tasks such as summarizing unread messages, drafting replies, managing schedules, searching past conversations, and adjusting settings via voice or text. Kakao plans to expand its capabilities to handle orders, gifts, reservations, and money transfers. In a demo, when asked, "Please reorder what I bought last time," the system identified the user's usual bottled water, compared prices and coupons on Talk Deal, and proceeded to the step immediately before payment. A limited, invite-only closed beta test (CBT) is scheduled to begin in December for select pre-registered users.

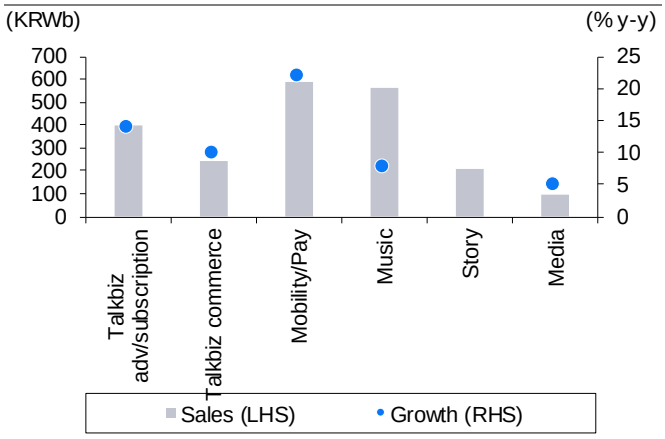
Third, Kanvas is a PC-based service for creating and running teams of personal agents. Users describe the agent they need in natural language, and the system automatically assembles it by connecting tools and skills. It operates on a core engine with local memory, alongside isolated browser instances and sandboxed execution environments for each agent. A demo showcased an agent that gathers documents scattered across a PC and automates tax filing and year-end settlement on the user's behalf. Kakao plans to launch a small-scale CBT before year-end and, by 1H27, offer a dedicated space within KakaoTalk for connecting agents built on Kanvas or external frameworks.

For external service execution, Kakao's servers handle authentication and payment orchestration, while directly integrated partner services use MCP or A2A protocols to process orders. Kakao unveiled Coupang Eats (its first external partner for A2A integration) in 2Q26, while the open platform PlayMCP (which hosts more than 3,400 registered MCP tools) provides the foundation for this execution layer. Kakao also plans to enhance execution capabilities by enabling browser-based agents to perform tasks in isolated cloud environments, reducing development requirements for partners.

Kakao's Kanana model system underpins this architecture, dynamically selecting among on-device, SLMs, flagship models, and frontier models based on request complexity, coordinated by an 'AI Conductor.' The 'Project Mosaic' framework retains memory only within user-approved boundaries, while 'Kanana Safeguard' requires explicit user confirmation before executing critical actions such as payments or sending messages.

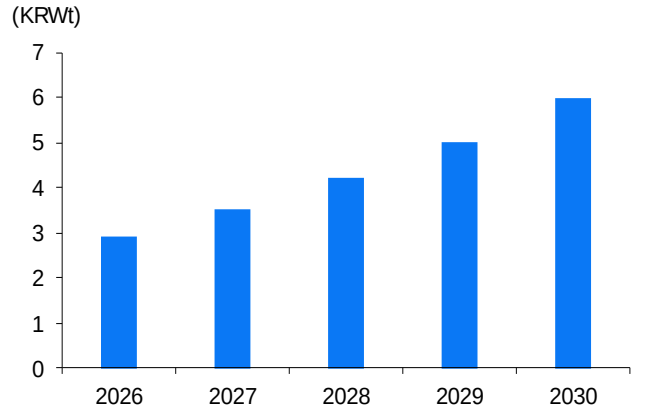
Kakao has set concrete targets. By year-end, it aims to reach 10m monthly active users (MAUs) for KakaoTalk AI. Starting in 2027, Kakao plans to monetize AI aggressively through transaction fees, subscriptions, and new advertising formats, with the goal of increasing AI-related sales to a double-digit share of total sales by 2028. After its spin off, Kakao AI targets more than 20m daily active users (DAUs) by 2030, with total sales exceeding KRW6t *pa* and AI-specific sales surpassing KRW1t *pa*.

Kakao: 2Q26 sales



Source: Kakao, Samsung Securities

Kakao AI sales target



Source: Kakao, Samsung Securities

Kakao AI strategy key milestones

Timing	Content	Meaning
2025.05	Beta launch of standalone AI app 'Kanana'	Launched with a standalone app strategy
2025.10	Deployment of ChatGPT within KakaoTalk (ChatGPT for Kakao)	Leveraging distribution capabilities through global model partnerships
2026.03	Official launch of 'KakaoTalk with Kana'	Proactive suggestions based on conversation context
2026.08	2Q26 Results: Announcement of Coupang Eats A2A integration, End-of-year KakaoTalk AI MAU target of 10 million. Approval of spin-off	Simultaneous pursuit of executable agents and spin-off
2026.10.13	If Kakao 26: Launch of Kanana Space and Canvas	Direct competition with global personal agents
2026.10.15	Discontinuation of standalone app Kanana service	Focus on AI centered on KakaoTalk
2026.12	Kanana Space CBT, Canvas small-scale CBT (as early as year-end) Extraordinary Shareholders' Meeting (12/17)	First validation of execution scope and user response
2027.01	Spin-off (1/1), Relisting (1/27)	Launch of KakaoAI and KakaoX systems
1H27	Launch of agent connection space within KakaoTalk	Connects to external agents as well

Source: Kakao, Samsung Securities

In summary, Kakao aims to compete directly with global personal agents such as Muse by building personalization and execution capabilities on top of KakaoTalk, Korea's largest messaging platform.

While the direction is reasonable, the strategy rests on two key assumptions: 1) KakaoTalk's conversational context provides a competitive advantage in personal AI; and 2) Kakao can match global personal agents in execution capabilities. Both assumptions require rigorous validation.

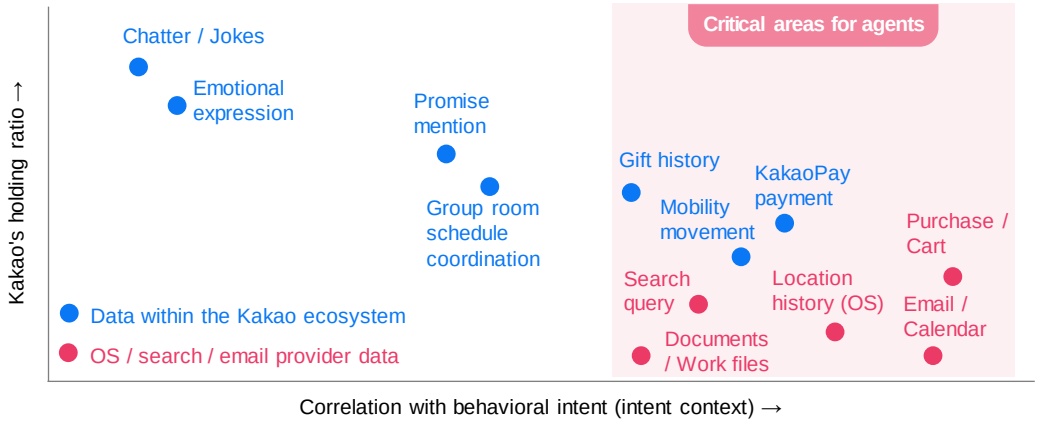
Is conversation context truly a moat?

The first premise of Kakao's strategy is that 'the vast volume of conversations on KakaoTalk is the foundation of its personal AI competitiveness.' There is no doubt that conversations with friends, family, and colleagues contain immense amounts of information. Yet much of this content—chatter, emotional expressions, jokes, and casual check-ins—has little to do with actual behavior. A high volume of conversation does not necessarily translate into a deep understanding of behavioral intent.

What matters most for a personal agent is data that directly reveal behavioral intent: search queries, calendar events, emails, documents, purchase histories, payment records, location data, and service usage logs. The intent behind 'business trip to Busan next week' is more accurately captured by a calendar entry, KTX search history, and a corporate card transaction than by casual group-chat messages.

Kakao's recent IF Kakao demonstration illustrates this clearly. Conversational context was used for memory recall ('What did my wife say last week?) and message summarization. However, the actions that led to purchases, such as reordering bottled water and recommending lunch, were driven by past purchase history and coupon usage. The demonstration highlighted a critical point: the context that drives action is not conversation itself, but the points at which Kakao connects people with services, relationships, and transactions.

Correlation between behavioral intent by data type and Kakao's holding level



Source: Samsung Securities

Using conversation data for personalization is less a technical challenge than a matter of trust. An AI reading users' messages and proactively making suggestions may feel intrusive rather than convenient to many users. KakaoTalk's status as Korea's national messaging app rests partly on the implicit trust that 'it does not look at your conversations.'

To address this issue, Kakao has empowered on-device AI. It embeds lightweight models directly on smartphones, processing key information from conversations entirely on the device so that personal data do not reach external servers. However, on-device models inherently face performance limitations. The newly unveiled hybrid architecture, which handles simple requests on-device and offloads more complex tasks to server-based large models, along with consent-based memory management through Project Mosaic, represents an effort to address these limitations. Yet the structural tension remains: the more complex the task, the greater the need for server-side processing. Preserving privacy requires some compromise on intelligence, while enhancing intelligence risks eroding trust.

This dilemma is not unique to Kakao. Tencent, which holds relationship, conversation, and payment data from 1.4b users, has intentionally limited data usage in its AI agent 'Xiaowei' on WeChat. Rather than scanning entire chat histories, it accesses specific conversations only when users explicitly ask it to within a chat. As a result, local observers have remarked, "Even with access to the data of 1.4b users,

it could not cross the wall of trust." In contrast, Mini Programs, which enable users to access delivery, taxi, and money-transfer services directly within WeChat, and transaction processing up to the payment stage have received positive feedback. Messaging-based agents are therefore more likely to differentiate themselves through service execution across users' networks of relationships than through extensive analysis of conversations.

Limits of execution: Can Kanana Space and Kanvas compete with Muse?

The second premise is that Kakao can compete with global personal agents in execution capabilities. A personal agent's competitiveness depends not only on its ability to understand users, but also on its ability to act on that understanding—its execution power. Execution power can be divided into two dimensions: 1) how many external services it can interact with (scope of execution); and 2) whether it can act on the user's behalf anytime, anywhere (accessibility and continuity).

Muse addresses both dimensions within a unified architecture. Meta provides each user with a dedicated cloud-based virtual machine (Muse Secure VM), within which Muse can directly operate a browser, file system, and terminal. While Muse uses connectors for services such as Gmail and Shopify, it can also interact with services without connectors through their web interfaces, as a human would, eliminating the need for individual partnerships. Because it runs in the cloud, tasks continue even after the app is closed, with Meta bearing the computing costs. Muse offered most features for free and reached 6.6m cumulative installs and 1.8m DAUs, according to Sensor Tower estimates, within one month of its launch.

Kanana Space takes a fundamentally different approach. Its primary method of interacting with external services relies on API integrations established through direct partnerships with individual businesses. This approach offers greater reliability, as authentication and payment processing take place securely at the server level. Compared with browser automation, which is vulnerable to changes in webpage structures and bot detection, this approach is more stable and secure. Muse, in fact, has encountered cases in which websites detected AI agents as bots and blocked access.

However, the scope of API-based integration is limited to businesses that have partnered with Kakao and invested in developing the necessary connections. CEO Shina Chung has also identified partners' development investment and assessment of business viability as key challenges to expanding the ecosystem. While large platforms such as Coupang Eats have strong incentives to integrate, long-tail services, including local clinics, beauty salons, government offices, and overseas websites, lack both the incentive and technical capacity to build APIs. For users, an agent that works with some services but not others would be difficult to adopt as a habitual tool.

Kakao also recognizes this limitation. To reduce partners' development burden, it is preparing a framework in which browser-based agents operate in isolated cloud environments to perform tasks. However, the company has stated that providing an individualized VM for each user, as Muse does, is not under practical consideration because of cost concerns. If the browser-based approach remains a supplementary solution for services without API integrations, it will be difficult to achieve the level of always-on execution offered by Muse, which continues operating even after the user closes the app.

PC-based Kanvas takes the opposite approach, with each agent running in a separate browser instance directly on the user's PC. This enables broad access to web services regardless of partnership status and

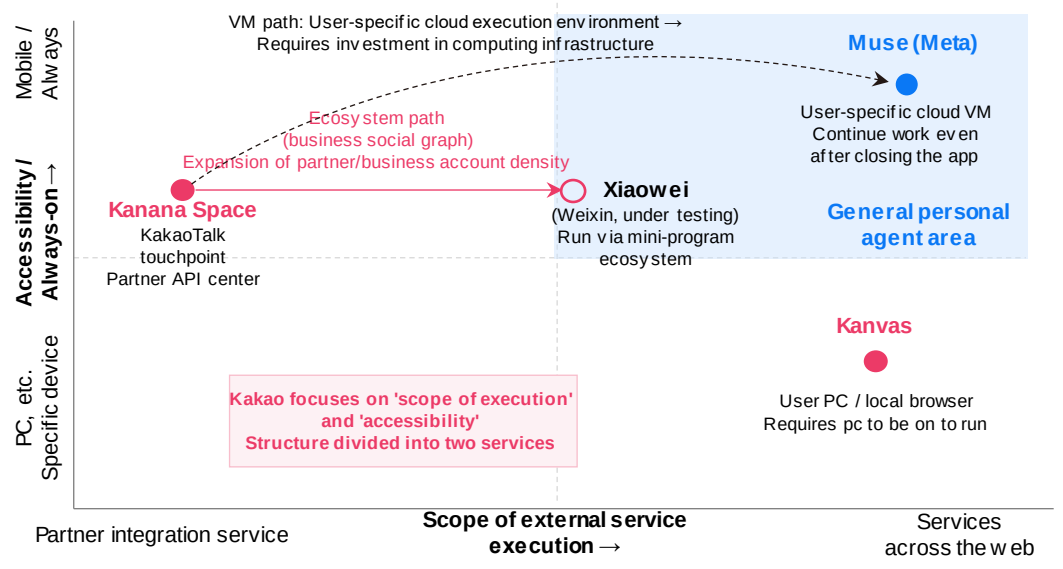
direct interaction with files distributed across the device. However, execution remains tied to the PC, requiring users to keep their computers powered on to delegate repetitive or scheduled tasks. This limits its practicality for users that are on the move. For most users in a smartphone-first environment, this is a significant inconvenience and distances Kanvas from Kakao's strongest touchpoint: mobile KakaoTalk.

The open-source local agent OpenClaw, which gained traction earlier this year, has been adopted primarily by highly engaged users willing to invest in dedicated devices, such as Mac Minis, to enable continuous operations. As such, Kanvas appears unlikely to scale easily as a mass-market service.

Ultimately, Muse combines both 'broad execution scope' and 'always-on accessibility' within a single service, whereas Kakao has separated these capabilities across two distinct services. Kanana Space offers high accessibility but a limited execution scope, confined to Kakao's own services and partners. Kanvas offers a broad execution scope but limited accessibility. Combining both capabilities requires a user-specific cloud execution environment, which in turn requires substantial computing infrastructure.

In its 2Q26 earnings presentation, Kakao stated that it would not make large-scale investments in AI infrastructure, as the potential future ROI does not sufficiently offset the near-term financial burden. Given the lack of clear monetization models for AI services, this is a financially prudent decision. Demand-tiered model allocation through AI Conductor, on-device processing, the absence of per-user VMs, and PC-based execution all serve the same objective: controlling costs. However, these structural constraints may hinder Kakao's ability to compete in the general-purpose personal-agent market against Meta, which offers free, user-specific computing resources.

Personal agent execution structure positioning: Execution scope × accessibility



Source: Samsung Securities

Comparison of personal agent execution structures

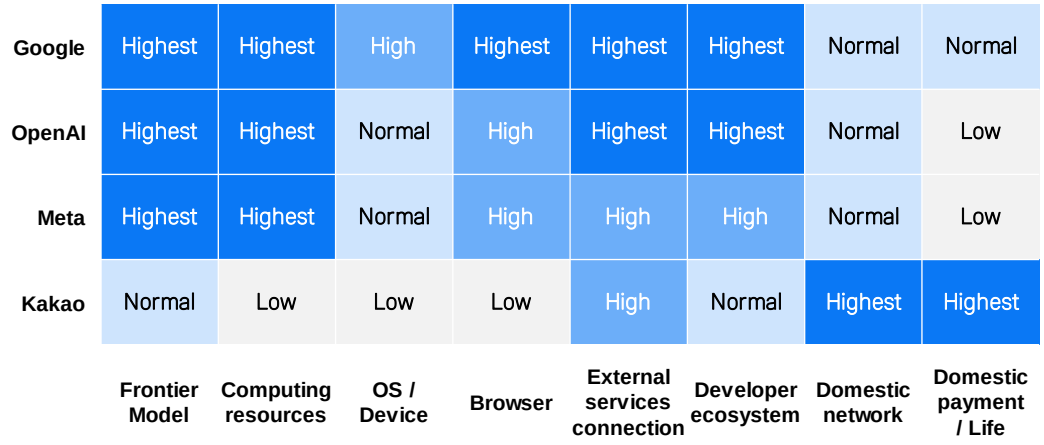
Category	Muse (Meta)	Kakao Space	Canvas
Execution environment	Dedicated cloud VM per user	Kakao servers + partner APIs	User PC (local)
External service connection	Connector + direct web access via in-VM browser	MCP and A2A partnership integration Preparing cloud browser path	Web access via separate browsers per agent
Execution scope	Broad	Narrow, focused on own services and partners	Broad
Continuous operation	Continues in the cloud even when the app is closed	Executed when invoked in KakaoTalk	Only when the PC is on
Supported Devices	Mobile, Web, WhatsApp, iPad Applicable to mobile, web, WhatsApp, and iPad AI glasses	Mobile KakaoTalk	PC Scheduled to connect to KakaoTalk spaces in 1H27
Computing and execution costs	Borne by Meta	Kakao and partners bear the cost	Shifted to user PCs
Strengths	Versatility, 24/7 availability	Largest domestic touchpoints, stable authentication and payment Revenue sharing with partners	Leverage of local files, complex PC tasks
Limitations	Computational costs, site bot blocking, and VM data access controversies	Unconnected long-tail services	Burden of continuous operation, limited mobile accessibility
Schedule	Sep-26 US launch	Dec 2026 CBT, official launch date undisclosed	CBT as early as this year, launch scheduled for 1H27

Source: Each company, compiled by Samsung Securities

A more fundamental question: Why compete on the same battlefield?

A general-purpose personal AI requires more than model performance. It also requires an ecosystem spanning computing resources, operating systems, devices, browsers, external service integrations, and a global developer community. Most of these capabilities are already dominated by Google, OpenAI, and Meta Platforms. Kakao's clear advantages lie in two areas: its deep domestic network and its integrated payment/lifestyle services. The decision to embed ChatGPT within KakaoTalk itself signals a strategic acknowledgment that, for general-purpose AI, licensing external engines makes more sense than building one from scratch. This choice also implies a deliberate decision not to own the execution layer of general-purpose agents.

Level of capabilities held by each provider vs competitive requirements for personal general-purpose AI



Source: Samsung Securities

The key point is that Kanana Space's API-based integration model can be either a weakness or a strength, depending on the battlefield. In the competition to build a general-purpose agent that operates across the entire web, reliance on partnerships limits its execution scope. However, the equation changes when competition shifts towards connecting people with businesses, stores, and services. Through partnerships, Kanana Space can seamlessly integrate authentication, payments, and customer management while, crucially, enabling revenue sharing with business partners. A browser-based agent that mimics human clicks and interactions may be viewed by businesses as a third party taking control of customer touchpoints. In contrast, a partner-integrated agent serves as a channel that brings customers to the business.

The issue is not Kanana Space's operating model itself, but the battlefield on which Kakao chooses to compete. If this integration model serves not as a tool for broad web coverage, but as the foundation for business relationships and networks, what appears to be a limitation today could become a competitive edge. This is the starting point for the business social graph introduced in the next section.

From personal connections to business networks

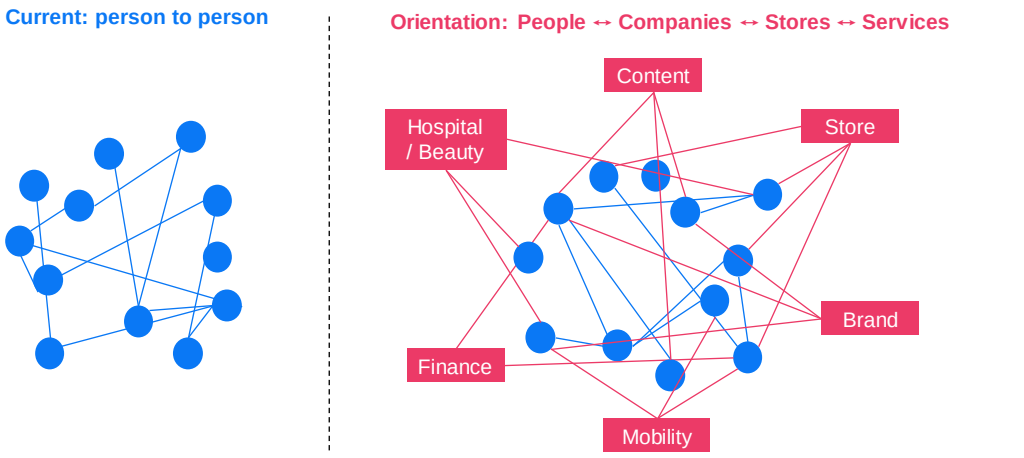
Kakao's path forward: Business social graph

Kakao's real advantage is its social graph

KakaoTalk's competitive advantage is often measured by its MAU—but in the age of AI agents, MAU is among the fastest-depreciating metrics. More important than how often users open the app is the relationships that already exist within it. KakaoTalk's true competitive advantage is not its user count, but Korea's dense social graph. Nearly all types of personal connections, including family chats, workplace groups, alumni networks, and business contacts, are already embedded within the platform.

The challenge is that this social graph has yet to expand meaningfully into sustained relationships between users and businesses, stores, or services. While early building blocks exist, including Kakao Channels, Alimtalk (informational messages), Gifting, and Talk Reservation, most interactions remain one-way, such as ads and alerts, or one-off, such as gift purchases. Infrastructure for sustained two-way relationships remains limited, including booking appointments at a regular salon, consulting with a preferred insurer, or reordering from a favorite restaurant, all within the same trusted channel. The more than 20% y-y growth in business messaging revenue within Talk Biz advertising in 2Q26 confirms strong enterprise demand to use KakaoTalk as a primary customer touchpoint.

Expansion of Kakao's social graph



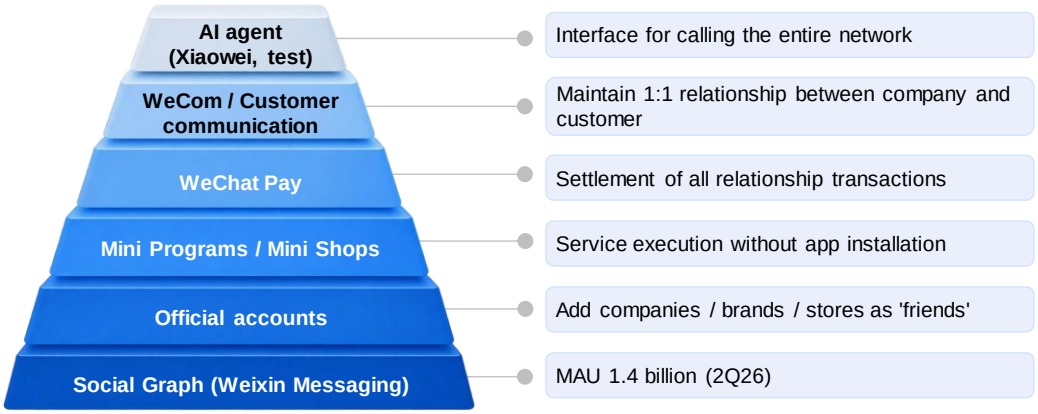
Source: Samsung Securities

The answer lies in Tencent

Kakao should look to Tencent's WeChat as a blueprint. While WeChat is often called a super app, its key innovation is not the number of features, but how it transformed a social graph into a business graph. In 2Q26, the combined MAU of WeChat, the platform's name outside China, and Weixin, its name in China, reached 1.439b, while marketing service revenue grew 22% y-y to CNY43.6b. Tencent cites its closed-loop marketing ecosystem, in which ads, mini-games, and mini-shops drive transactions entirely within WeChat (Weixin), as the primary growth engine.

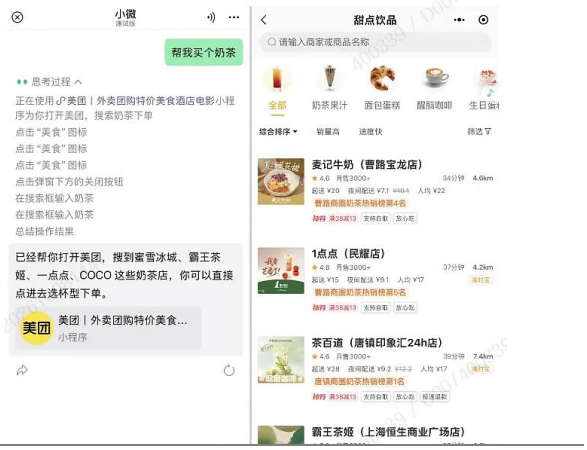
WeChat's relationship architecture is layered. First, official accounts allow businesses and brands to become "friends" within users' contact lists. Mini-programs and mini-shops then enable access to services without app downloads, while WeChat Pay provides seamless transaction settlement. WeCom (Enterprise WeChat) enables direct, one-on-one communication between companies and customers. In Jun 2026, WeChat began small-scale testing of XiaoWei, an agentic AI embedded at the core of this ecosystem, adding intelligence as the final layer.

Weixin's network layers: Social → Business → Payments → AI



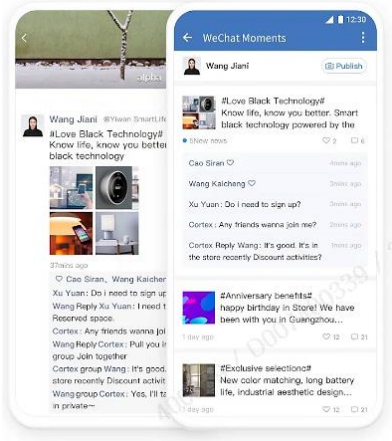
Source: Tencent, Samsung Securities

Weixin Xiaowei, executing orders integrated with mini-programs



Source: Tencent

Tencent's business collaboration platform WeCom



Source: Tencent

WeChat components and Kakao's corresponding assets

WeChat Layer	Kakao's corresponding assets	Current gap	Required direction
Social Graph	KakaoTalk Friends and Group Chats	None (strongest in Korea)	Maintain
Official Account	KakaoTalk Channel	Centered on one-way messaging	Two-way relationships, membership, and CRM
Mini Program	Talk reservations/orders, PlayMCP	Insufficient service density	Large-scale onboarding of small businesses and brands
WeChat Pay	Kakao Pay (Kakao X after spin-off)	Planned corporate separation	Secure integrated payments within KakaoTalk
WeCom	Kakao Work, Consultation Talk	Weak 1:1 enterprise-to-customer relationship	Enterprise customer relationship tools
AI Agent	Kakao's KakaoTalk AI Agent	Aiming for general-purpose personalization	An interface that activates the network

Source: Samsung Securities

In summary, WeChat's expansion has progressed across four key dimensions. Starting with person-to-person messaging, it has expanded into person-to-business relationships (through official accounts and WeCom), person-to-store relationships (through mini-shops and QR payments), person-to-service relationships (through mini-programs), and enterprise-to-enterprise relationships (through B2B payments and settlement). These are not isolated features, but distinct connections within a single, integrated graph. The denser this graph becomes, the more value AI can unlock.

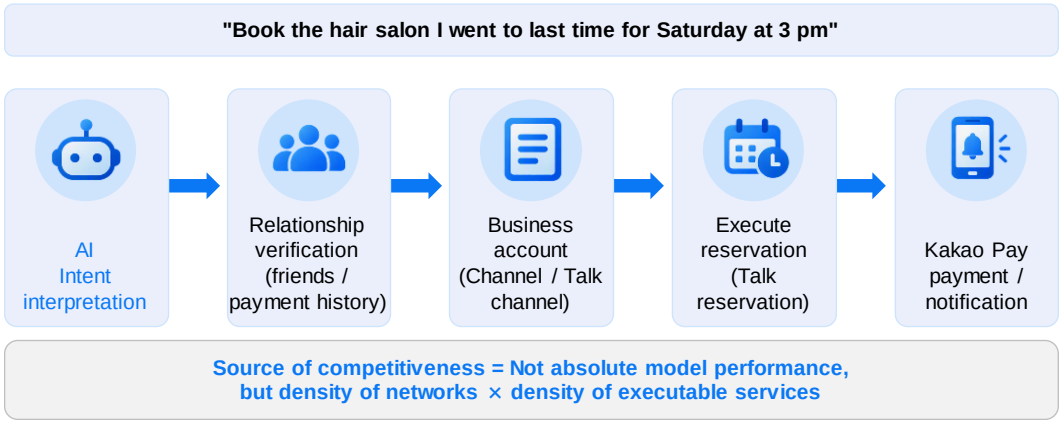
AI is not the hero—it's the interface

Kakao's path forward is clear. Rather than building a new general-purpose AI, it should deepen its business social graph and position AI as the interface on top of it. Imagine a user saying, "Book my usual salon for Saturday at 3 p.m." Kanana Space's MCP-A2A integration could turn this request into a seamless workflow. The key question is not technical, but strategic: will this infrastructure support the race for broad agent coverage, or deepen business connections within an existing relationship network?

A general-purpose agent would need to infer. Here, the competitive advantage isn't the raw performance of the AI model—it's the density of Kakao's existing relationships and the depth of its integrated services. The model itself can be licensed from outside (eg, OpenAI). But the network of real human-to-business connections cannot be borrowed. Which salon does the user mean? And where is it? The AI could potentially scour emails, location history, and websites simply to find a booking form. Kakao, by contrast, may already have the answer. If the user is connected to that salon's KakaoTalk channel, has previously booked a session there through chat, and paid with Kakao Pay, the AI can execute the task seamlessly: confirm the relationship → access the business account → schedule the appointment → process payment.

The competitive advantage here is not the raw performance of the AI model, but the density of Kakao's existing relationships and the depth of its integrated services. The model itself can be sourced externally (*eg*, from OpenAI), but the network of real person-to-business relationships and execution connectivity cannot be outsourced. In this structure, competitiveness depends more on the density of Kakao's network and executable services than on the absolute performance of the AI itself.

Example of how the business social graph works, using AI as an interface



Source: Samsung Securities

General-purpose agents vs business social graph-based agents

Category	General-purpose agents (Muse, etc.)	Business social graph (Kakao's direction)
User understanding method	Inferred from conversations, emails, searches, etc.	Retrieves established relationships (channel friends, payment history)
Execution method	Web screen manipulation (browser automation)	Executed directly via business accounts and APIs
Risk of failure	Vulnerable to site structure changes and authentication issues	Stable due to transactions within established relationships
Value for business operators	Reduced exposure and incurred agent optimization costs	Maintaining repeat customer relationships, CRM and repeat visit effects
Kakao revenue sources	None (bypass target)	Channel subscriptions, messaging, reservations, and payment fees

Source: Kakao

This distinction matters even more for businesses. In a world dominated by general-purpose agents, stores must compete to be selected by the AI, potentially losing direct control over customer relationships. On Kakao's business social graph, businesses retain ownership of those relationships, while AI manages them on their behalf. This gives small retailers and brands a compelling reason to choose Kakao and could create differentiation that OpenAI cannot easily replicate.

Will the spin-off be advantageous for building a social graph in the era of agent AI?

Kakao's decision to split into separate entities—Kakao AI and Kakao X—raises important questions about its strategic fit in the age of AI agents. The company cites three primary objectives: 1) sharper business focus; 2) faster decision-making; and 3) eliminating the conglomerate discount. According to Kakao, the group's implied enterprise value, based on an Aug 2026 sum-of-the-parts (SOTP) consensus among securities firms, stood at KRW34.2t, significantly above its three-month average market cap of KRW16.8t. The company argues that this gap reflects the current structure's failure to capture fully the intrinsic value of its individual businesses. Following the split, Kakao AI and Kakao X should each be led by dedicated management teams, enabling greater operational focus and more targeted value creation. Kakao AI, in particular, should be positioned as an AI company and better able to command a valuation premium commensurate with its AI-centric business model.

Yet, from a financial perspective, it is far from clear that the spin-off will eliminate the discount. Although Kakao X has stated that it will not become a holding company, its value is overwhelmingly tied to stakes in listed subsidiaries, including Kakao Bank, Kakao Pay, Kakao Entertainment, and Kakao Mobility. The market is likely to apply a holding-company discount regardless. This risk is compounded by the fact that Kakao Bank and Kakao Pay are already publicly listed, potentially resulting in a double/duel[which?]-listing discount. Given that major Korean conglomerates typically trade at a 40-50% discount to NAV, the spin-off may not eliminate the discount but simply shift it to Kakao X.

Kakao AI's ability to command an AI-company premium is also uncertain. Its AI services remain at an early stage and currently contribute minimally to revenue or user engagement. Talk Biz advertising and commerce revenue grew by around 10% in 2Q26, but growth is likely to have slowed in 3Q26 due to the base effect. Until Kakao AI's targets—AI revenue reaching a double-digit share of total sales by 2028 and KRW1t by 2030—clearly materialize, the company is likely to be valued more as a domestic platform than as a global AI leader.

The deeper issue is strategic. From the perspective of building a business social graph in the AI-agent era, the post-split structure leads to a fundamentally different conclusion. In WeChat's model, the social graph and payment functions operate as a single, integrated system within one app, creating a seamless network of relationships and transactions. Under Kakao's post-split structure, however, the graph (KakaoTalk) and execution layers (Kakao Pay, Kakao Mobility, and Kakao Entertainment) would reside in separate companies. The nodes of the graph would sit with Kakao AI, while the edges would be held by Kakao X.

Once legal boundaries are established, collaboration becomes a matter of intercompany transactions. Data sharing raises concerns over personal data transfers and fairness in intra-group dealings, while revenue allocation can create conflicts of interest among minority shareholders of the respective listed entities. A simple user journey, such as booking a salon appointment and paying via Kakao Pay, becomes a contractual and settlement matter between two public companies. If seamless, frictionless connectivity between intent and action is a defining requirement of the agent era, this structure is likely to introduce friction.

Expected benefits of the spin-off and risks from a business social graph perspective

Category	Expected Effects (Company Rationale)	Risks
Valuation	Elimination of conglomerate discount and revaluation as an AI company	Kakao AI's value is assessed solely on "advertising + AI" rather than "network + transactions."
Decision-making	Focus by business unit, accelerated speed	Integrated decision-making across Talk, Pay, and Mobility is fragmented across two separate boards of directors.
Data	Clarification of data governance by legal entity	Legal and procedural friction in utilizing Talk AI for payment and mobility data.
Profit allocation	Clarification of shareholder return policies by legal entity	Revenue allocation for integrated services shifts to a conflict-of-interest issue.
Capital allocation	Securing investment funds for KakaoX (approx. KRW6.4t)	Risk: Possibility that investment priorities are determined independently of the business social graph.

Source: Samsung Securities

Investment conclusion

Conclusion and investment strategy

Evaluation based on strategic direction, not AI technical capabilities

Naver and Kakao face the same question: what role remains in the value chain when personal agents replace the frontend? Naver has begun answering with “infrastructure.” Its investments in compute (AI Factory), merchant services (NPay Connect), and digital assets (Dunamu) position it as a mandatory transit point, regardless of which agent ultimately wins. However, these investments continue to outpace measurable outcomes. As its search and e-commerce frontends weaken, rising R&D spending has stalled near-term operating profit growth, while the Dunamu merger, delayed for the third time, has been pushed back to Mar 2027. While near-term earnings uncertainty and schedule delays pose risks, Naver’s strategic direction appears sound.

Kakao’s answer is ‘a personal agent on KakaoTalk.’ Kakao aims to compete directly with global personal agents such as Muse by adding Kanana Space and Kanvas to Kanana in KakaoTalk, which proactively makes suggestions based on conversational context. However, we believe this approach targets an area in which Kakao has limited advantages rather than leveraging its strongest assets. Kanana Space, centered on partner APIs, has a limited execution scope, while PC-based Kanvas faces accessibility constraints. Combining the strengths of both would require computing infrastructure in which Kakao has explicitly chosen not to invest. Kakao’s true advantage lies not in AI, but in its social graph, which is uniquely positioned to connect individuals, businesses, stores, and services and continuously expand that network. What appears to be a weakness in the general-purpose agent race—its partner-dependent integration model—could become a strength in this area. To realize this opportunity, Kakao must first deepen its business infrastructure by increasing the density of partner services and business accounts. The recent decision to separate into two entities, dividing KakaoTalk from payments and mobility at the corporate level, warrants reevaluation, as it may hinder the seamless connectivity required for this expansion.

Naver vs Kakao: Comparing strategies in the agent era

	Naver	Kakao
Existing Core Moat	Search and shopping frontend	Social graph
Risks in the Agent Era	Bypass of search and shopping	Stagnation of messenger frontend value
Current Strategy	Frontend to Infrastructure	Strengthening personal agents (Kakao Space, Kanvas)
Direction to pursue	AI Factory + Merchant + Finance	From social to business social graph
Role of AI	Service + infrastructure demand	Interface that operates the graph
Key monitoring indicators	AI Factory anchor customer contracts and sales recognition Connect merchant and CRM conversion, Approval of Dunamu merger	Expansion of partnerships and transaction conversion following the CBT of Kanana Space Channel-based reservation and payment transaction share Post-split KakaoTalk Pay and mobility linkage devices
Strategic assessment	Crisis response in progress	A strategic shift is needed.

Source: Kakao

Investment strategy

Preference within sector: Naver > Kakao

We maintain Naver as our top pick in the internet sector. Both companies face the same structural risk: erosion of frontend dominance as personal agents proliferate. The key difference is how they are preparing for what comes next. Naver is sacrificing near-term earnings to secure assets that agents cannot bypass: AI infrastructure, offline merchant networks, and digital assets. In contrast, Kakao's new agent layers have yet to demonstrate their execution capabilities, while the spin-off risks weakening its core asset, its network of relationships and transaction connections.

The winner in the agent era is unlikely to be the platform with the most traffic, but rather the one that controls indispensable infrastructure. At this stage, Naver is better positioned to meet that criterion. We recommend using the current share-price correction, driven by near-term earnings concerns, as an opportunity to increase exposure to Naver.

Naver: Maintaining BUY, lowering target price to KRW250,000

We maintain our BUY rating on Naver but lower our target price by 11% from KRW280,000 to KRW250,000 for three reasons:

First, erosion of the frontend competitive advantage. As personal agents increasingly replace users in search and product comparison, revenue streams tied to capturing user attention, such as search and shopping ads, should face structural devaluation.

Second, slowing near-term operating profit growth due to increased investment. Rising costs associated with the AI infrastructure build-out and offline payment terminal deployment are expected to reduce 3Q26 operating profit by 13.4% y-y. Operating profit growth is likely to remain flat until the AI Factory begins making a material revenue contribution from 2H27.

Third, the delay in the Dunamu merger. The share exchange between Naver Financial and Dunamu has been postponed for the third time due to prolonged regulatory reviews by the Fair Trade Commission (FTC). The transaction structure and rationale remain unchanged, but its contribution to earnings and enterprise value has now been pushed back until after Mar 31, 2027.

Despite these headwinds, we maintain our BUY rating because Naver is actively developing new growth engines beyond the frontend: 1) the AI Factory is on track to finalize customer contracts this year, with capacity scaling from 55 MW in early 2027 to 200 MW by end-2028; 2) NPay Connect, launched just seven months ago, has surpassed 100,000 merchant partners and is evolving from a payment terminal into a full-service merchant platform integrating reservations, orders, CRM, and marketing; and 3) although the Dunamu merger has been delayed, the digital asset business remains a call option for Naver to build next-generation financial and transaction infrastructure, such as stablecoin settlement and agent-to-agent payments. All three initiatives represent critical infrastructure through which all transactions and computations must pass, regardless of which agent ultimately wins. By design, they are assets that cannot be bypassed in the agent era.

Naver's share price has declined to the KRW170,000 range, reaching a 52-week low and trading at just 13x 2027 P/E, a level that already prices in substantial concerns over frontend erosion and earnings stagnation. Near-term volatility is likely to persist as higher costs continue to pressure earnings through 3Q26 and beyond. However, we view the share-price correction as a buying opportunity and recommend increasing exposure on further pullbacks.

Kakao: Maintaining HOLD with target price of KRW35,000

We lower our 12-month target price for Kakao by 12.5% from KRW40,000 to KRW35,000 and maintain our HOLD rating.

Kanana Space and Kanvas, unveiled at IF Kakao 2026, represent a clear step forward from Kanana in KakaoTalk, which proactively initiates suggestions, towards agents capable of executing actions. However, the execution capabilities and external service integration of these personal agents remain unproven. Kanana Space relies primarily on partner API (MCP, A2A) integrations, limiting its interaction with connected services, while PC-based Kanvas faces constraints in accessibility and continuity. Until we can assess how quickly partner services expand following the December CBT and, more importantly, how effectively these integrations translate into actual orders and payments, it will be difficult to incorporate Kakao's planned AI monetization (from 2027) into our earnings forecasts. The spin-off remains a risk factor, with uncertainty likely to persist through the extraordinary shareholders' meeting on Dec 17, the spin-off effective date of Jan 1, 2027, and the relisting on Jan 27. While Kakao X has stated that it will not become a holding company, its enterprise value is predominantly tied to stakes in subsidiaries, making a valuation discount likely. Meanwhile, Kakao AI is unlikely to command an AI premium until its AI sales become clearly visible. Separating KakaoTalk from Kakao Pay and Kakao Mobility at the corporate level also introduces strategic friction, as seamless integration among these services forms the foundation of Kakao's competitive advantage in the agent era.

The 3Q26 results are likely to add further pressure. Growth in KakaoTalk brand-message advertising, a key driver of 1H26 growth, likely slowed to single digits, while its investments in new AI-agent development likely increased costs. Operating profit growth y-y likely decelerated to single digits y-y, potentially exerting downward pressure on the share price.

Three conditions would justify an upgrade to our investment rating: 1) rapid expansion of partner services and measurable conversion into actual transactions following the Kanana Space CBT; 2) establishment of mechanisms, such as long-term exclusive partnerships, shared-data frameworks, and revenue sharing, that preserve a unified business social graph across KakaoTalk, Kakao Pay, and Kakao Mobility following the demerger; and 3) AI sales growing at a pace consistent with the company's target of AI accounting for a double-digit share of total sales by 2028. We will reassess our investment rating at the relisting following the demerger based on progress against these conditions.

COMPANY UPDATE

2026. 10. 19

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Naver (035420)

Shift to infrastructure and offline services

- The expansion of personal AI agents may dampen Naver's advertising revenue growth, but the company is actively pursuing new growth drivers through its AI Factory initiative and expansion into offline services.
- Near-term profit growth is likely to moderate amid heavy investments in new ventures. Its shares should rebound once the earnings performance of these new businesses clears, which should happen in 2027.

WHAT'S THE STORY?

Personal AI agents and shrinking moats: With the emergence of Meta's Muse and similar AI agents, concerns are growing that traditional search portals' moats are shrinking. In response, Naver is integrating AI agents into its individual services—such as Search, Shopping, and Places—while concurrently restricting external AI agents' access to its ecosystem. Naver must rapidly close the AI agent technology gap and maintain its search traffic levels.

Shift to infrastructure and offline services: Naver is building new growth drivers by entering the AI Factory business and expanding offline payment infrastructure. Once anchor client contracts related to its AI Factory and the deployment of offline payment terminals are finalized (both are set to happen at end-2026), new revenue streams should materialize. With sales from its AI Factory business alone projected to reach KRW1t in 2027, this initiative is set to partially offset slowing revenue growth at Naver's advertising business (its core business).

(Continued on the next page)

AT A GLANCE

BUY

Target price	KRW250,000	38.9%
Current price	KRW180,000	
Market cap	KRW27.4t/USD20.6b	
Shares (float)	159,350,456 (89.0%)	
52-week high/low	KRW287,000/KRW173,600	
Avg daily trading value (60-day)	KRW192.0b/ USD144.2m	

ONE-YEAR PERFORMANCE

	1M	6M	12M
Naver (%)	-10.7	-17.6	-30.9
Vs Kospi (%pts)	5.9	-9.5	-54.3

KEY CHANGES

(KRW)	New	Old	Diff
Recommend.	BUY	BUY	
Target price	250,000	280,000	-10.7%
2026E EPS	12,155	12,775	-4.9%
2027E EPS	13,611	14,583	-6.7%

SAMSUNG vs THE STREET

No of estimates	24
Target price	318,458
Recommendation	4.0

※ Rating: 4 < → BUY, 3 = HOLD, 2 > → SELL

SUMMARY FINANCIAL DATA

	2025	2026E	2027E	2028E
Revenue (KRWb)	12,035	13,833	16,504	20,092
Operating profit (KRWb)	2,208	2,112	2,366	2,693
Net profit (adj) (KRWb)	1,819	2,172	2,645	3,064
EPS (adj) (KRW)	13,954	12,155	13,611	15,519
EPS (adj) growth (% y-y)	23.9	-12.9	12.0	14.0
EBITDA margin (%)	24.5	15.3	14.3	13.4
ROE (%)	7.4	7.4	8.2	8.9
P/E (adj) (x)	17.4	14.8	13.2	11.6
P/B (x)	1.3	0.9	0.9	0.8
EV/EBITDA (x)	11.9	11.6	9.3	7.0
Dividend yield (%)	1.1	1.4	1.4	1.4

Source: Company data, Samsung Securities estimates

Short-term earnings slowdown risk: Aggressive investments in new businesses are expected to dampen the firm's near-term operating profit growth. In 3Q, sales growth likely slowed to 12.3% y-y due to the *Chuseok* holidays (Korean Thanksgiving), and its operating profit likely fell 13.4% y-y to KRW494.3b on: 1) higher AI infrastructure costs; and 2) increased marketing and partner expenses related to the rollout of N Pay Connect.

Expectations towards new businesses: Reflecting the likely fall in its operating profit (stemming from rising costs), we lower our 12-month target price for Naver 10.7% from KRW280,000 to KRW250,000 (based on 18.7x 2027 P/E, aligned with the global platform average). The declining gateway role of portals is likely to continue weighing on Naver's ad sales growth, while near-term profitability faces pressure from aggressive investments in new ventures. However, as earnings at these new businesses (*eg*, AI infrastructure expansion and offline scale-ups) clears (which should happen from 2027), any share-price weakness (on near-term growth concerns) should be used to add exposure.

3Q preview: Operating profit to fall y-y on low seasonality and rise in costs

Due to the *Chuseok* holidays, ad and commerce sales (Naver Platform) likely fell 7.8% y-y in 3Q, resulting in the firm's overall revenue growth decelerating to 12.3% y-y. While global AI search growth has been rising structurally, it is still premature to attribute this likely 3Q revenue slowdown solely to structural shifts. The company attributes these likely soft 3Q numbers to low seasonality, expecting revenue growth to rebound in 4Q, restoring 2H sales growth to double digits.

C2C commerce likely maintained strong growth, with 3Q revenue likely increasing 66.5% y-y. However, the surge in trading card game (TCG) transaction volume (as seen in 2Q on KREAM) likely moderated slightly, resulting in a marginal decline in y-y growth (vs that seen in 2Q). Content revenue likely slid 1.4% y-y due to stagnation in the webtoon market, continuing its underperformance. Enterprise revenue likely grew 18% y-y, sustaining the growth observed in 2Q.

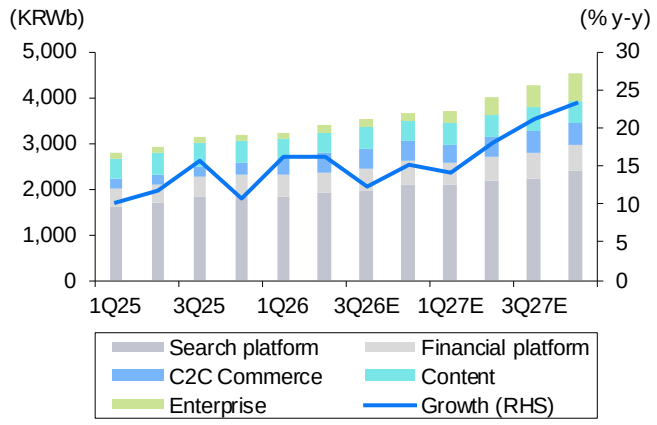
Amid slowing revenue growth, operating expenses in 3Q likely rose 18.1% y-y, driven by: 1) higher depreciation from expanded AI infrastructure investments; and 2) increased advertising, promotion, and partner costs associated with the aggressive rollout of N Pay Connect. As a result, we believe the firm's operating profit declined 13.4% y-y to KRW494.3b, missing consensus by 3.4%.

3Q preview

(KRWb)	3Q26			Diff (%)		3Q25	2Q26	Chg	
	New	Old	Consensus	Samsung	Consensus			(% y-y)	(% q-q)
Sales	**3,525.4**	**3,544.6**	**3,518.6**	**(0.5)**	**0.2**	**3,138.1**	**3,388.8**	**12.3**	**4.0**
NAVER platform	1,957.6	2,007.5		(2.5)		1,816.6	1,902.2	7.8	2.9
Financial platform	488.1	484.3		0.8		427.3	470.7	14.2	3.7
C2C Commerce	417.2	378.9		10.1		250.6	397.9	66.5	4.9
Content	491.1	502.4		(2.3)		498.2	464.3	(1.4)	5.8
Enterprise	171.5	171.5		0.0		145.3	153.7	18.0	11.5
Operating expenses	**3,031.1**	**2,969.5**		**2.1**		**2,567.4**	**2,868.4**	**18.1**	**5.7**
Development & operations	803.6	803.6		0.0		732.7	786.9	9.7	2.1
Partner	1,310.9	1,308.0		0.2		1,114.1	1,256.8	17.7	4.3
Infrastructure	246.8	237.5		3.9		218.6	219.8	12.9	12.3
Marketing	669.8	620.3		8.0		502.0	604.9	33.4	10.7
Operating profit	**494.3**	**575.2**	**511.7**	**(14.1)**	**(3.4)**	**570.6**	**520.3**	**(13.4)**	**(5.0)**
Pre-tax profit	728.8	809.8	644.9	(10.0)	13.0	856.9	902.0	(15.0)	(19.2)
Net profit	539.3	599.3	492.4	(10.0)	9.5	734.7	704.3	(26.6)	(23.4)
Net profit (controlling)	534.5	594.5	515.2	(10.1)	3.8	726.4	698.6	(26.4)	(23.5)
Margins (%)									
Operating profit	14.0	16.3	14.5			18.2	15.4		
Pre-tax profit	20.7	20.0	18.3			27.3	26.6		
Net profit	15.3	14.8	14.0			23.4	20.8		
Net profit (controlling)	15.2	14.7	14.6			23.1	20.6		

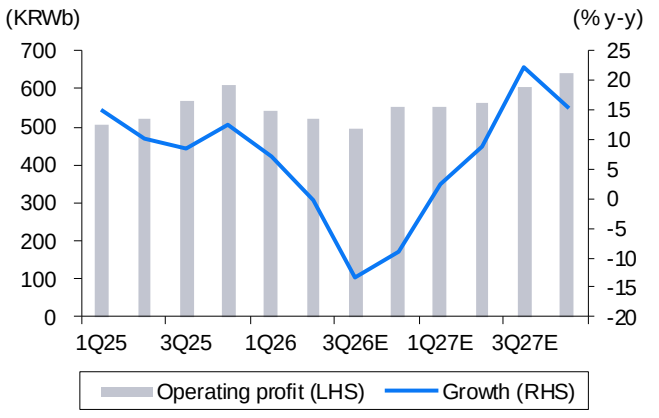
Source: Company data, FnGuide, Samsung Securities estimates

Quarterly sales, by division



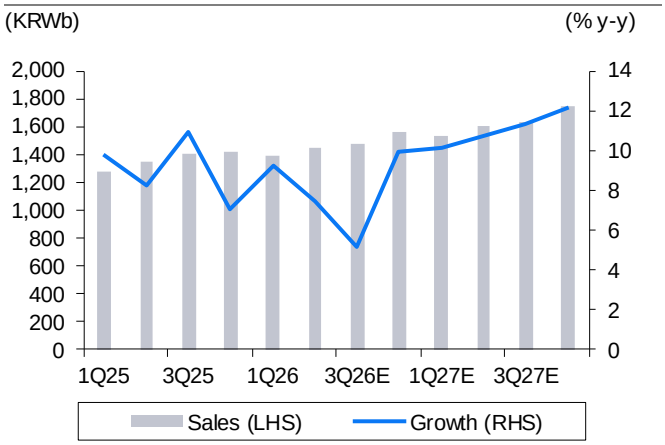
Source: Company data, Samsung Securities

Quarterly operating profit



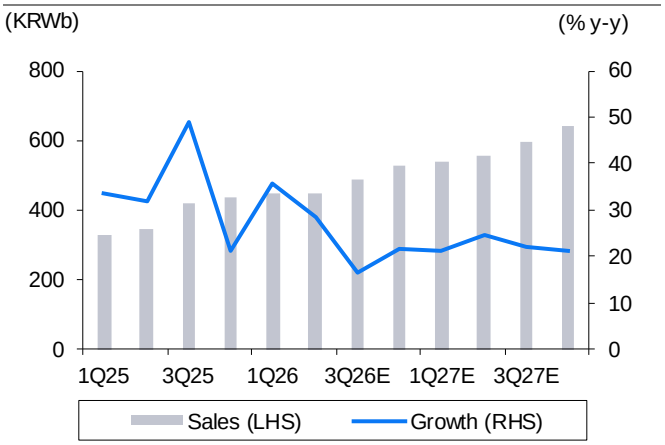
Source: Company data, Samsung Securities

Advertising sales



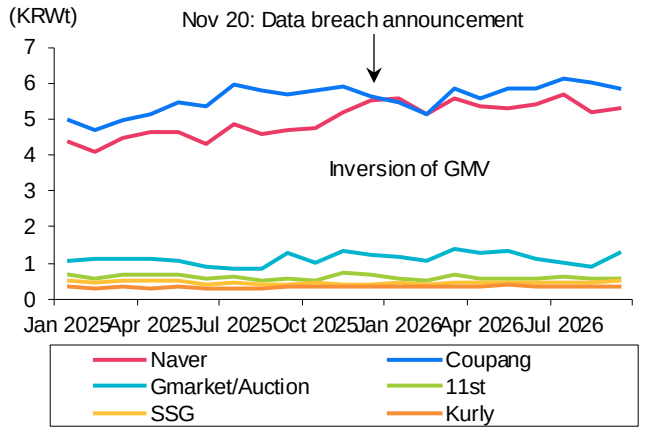
Source: Company data, Samsung Securities

Service sales



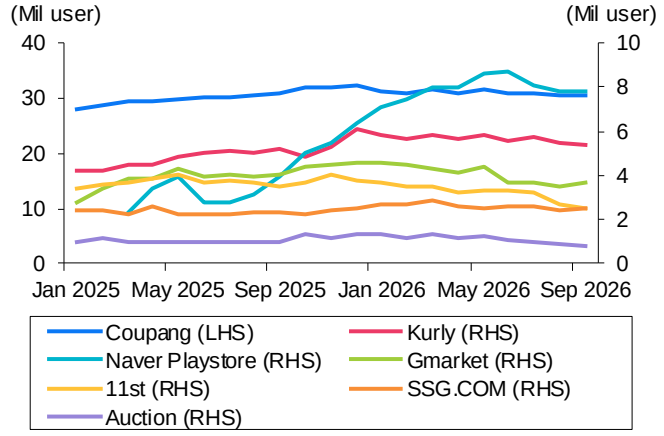
Source: Company data, Samsung Securities

Monthly GMV, by player



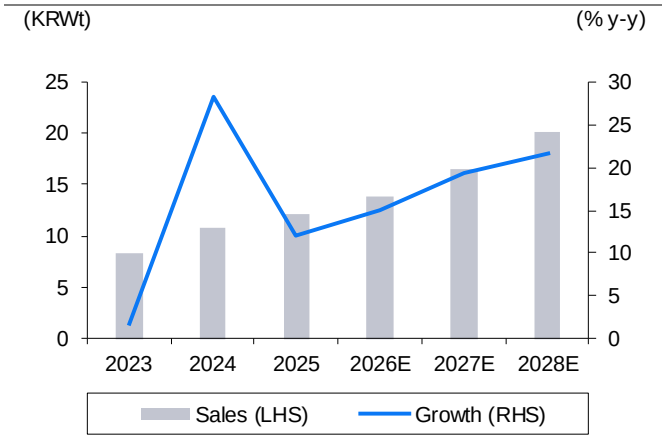
Source: Wise retail, Samsung Securities

E-commerce mobile app MAU



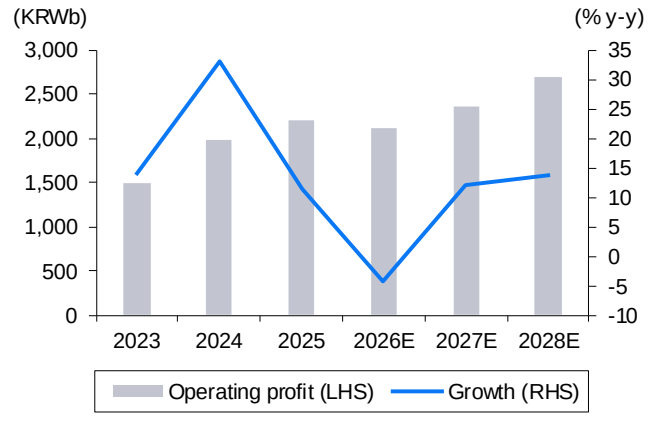
Source: Sensor Tower, Samsung Securities

Annual sales



Source: Company data, Samsung Securities

Annual operating profit



Source: Company data, Samsung Securities

Valuation

(KRW)	
2027E EPS	13,611
Target P/E* (x)	18.7
Fair value per share	254,001
Target price	**250,000**
Current price	179,300
Upside (%)	39.4%

Note: *Peer group's average 2027 P/E;
Based on Oct 14 closing price
Source: Samsung Securities

Global peers: P/E and P/S valuations

(x)	P/E		P/S	
	2026E	2027E	2026E	2027E
Alphabet	18.6	21.9	9.9	7.8
Meta platforms	21.9	19.9	7.6	6.3
Amazon	17.8	20.9	3.4	2.9
Baidu	14.5	11.9	1.5	1.4
Average	**18.2**	**18.7**	**5.6**	**4.6**

Note: Based on Oct 14 closing prices
Source: Bloomberg

Quarterly results and forecasts

(KRWb)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Sales	2,787	2,915	3,138	3,195	3,241	3,389	3,525	3,678	3,697	3,999	4,275	4,533
Naver platform	1,605	1,693	1,817	1,850	1,840	1,902	1,958	2,086	2,075	2,157	2,232	2,386
Financial platform	387	406	427	449	460	471	488	507	497	534	555	570
C2C Commerce	223	228	251	286	351	398	417	434	395	450	481	494
Content	446	462	498	445	440	464	491	458	452	477	502	468
Enterprise	127	127	145	166	150	154	171	192	278	381	504	615
Operating expenses	2,281	2,394	2,567	2,584	2,699	2,868	3,031	3,123	3,142	3,434	3,671	3,892
Development & operations	671	683	733	744	749	787	804	816	834	853	880	893
Partner	991	1,030	1,114	1,130	1,188	1,257	1,311	1,369	1,413	1,589	1,736	1,861
Infrastructure	189	198	219	205	251	220	247	276	285	320	351	372
Marketing	430	482	502	506	512	605	670	662	610	672	705	766
Operating profit	505	522	571	611	542	520	494	555	555	566	604	641
Pre-tax profit	580	684	857	300	393	902	729	861	828	845	902	1,000
Net profit	424	497	735	163	291	704	539	637	613	625	667	740
Net profit (controlling)	425	489	726	313	285	699	534	631	607	620	661	734
Adjusted EPS (KRW)	2,586	3,334	4,842	4,289	2,163	4,025	3,115	2,852	3,324	3,390	3,593	3,304
Margins (%)												
Operating profit	18.1	17.9	18.2	19.1	16.7	15.4	14.0	15.1	15.0	14.1	14.1	14.2
Pre-tax profit	20.8	23.5	27.3	9.4	12.1	26.6	20.7	23.4	22.4	21.1	21.1	22.1
Net profit	15.2	17.1	23.4	5.1	9.0	20.8	15.3	17.3	16.6	15.6	15.6	16.3
Net profit (controlling)	15.2	16.8	23.1	9.8	8.8	20.6	15.2	17.2	16.4	15.5	15.5	16.2

Source: Company data, Samsung Securities

Revisions to full-year forecasts

(KRWb)	2026E			2027E			2028E		
	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Sales	**13,873**	**13,833**	**(0.3)**	**16,576**	**16,504**	**(0.4)**	**20,169**	**20,092**	**(0.4)**
Naver platform	7,823	7,785	(0.5)	8,895	8,851	(0.5)	10,163	10,109	(0.5)
Financial platform	1,918	1,926	0.4	2,148	2,156	0.4	2,420	2,429	0.4
C2C Commerce	1,509	1,601	6.1	1,741	1,820	4.6	1,987	2,075	4.4
Content	1,956	1,854	(5.2)	2,015	1,900	(5.7)	2,068	1,947	(5.8)
Enterprise	668	668	0.0	1,778	1,778	0.0	3,531	3,531	0.0
Operating expenses	**11,642**	**11,721**	**0.7**	**14,162**	**14,138**	**(0.2)**	**17,424**	**17,399**	**(0.1)**
Development & operations	3,155	3,155	0.0	3,460	3,460	0.0	3,781	3,781	0.0
Partner	5,124	5,124	0.0	6,604	6,598	(0.1)	8,598	8,592	(0.1)
Infrastructure	967	993	2.7	1,333	1,327	(0.4)	1,700	1,694	(0.4)
Marketing	2,395	2,448	2.2	2,765	2,753	(0.4)	3,344	3,331	(0.4)
Operating profit	**2,232**	**2,112**	**(5.4)**	**2,414**	**2,366**	**(2.0)**	**2,745**	**2,693**	**(1.9)**
Pre-tax profit	3,014	2,885	(4.3)	3,637	3,575	(1.7)	4,212	4,140	(1.7)
Net profit	2,267	2,172	(4.2)	2,691	2,645	(1.7)	3,117	3,064	(1.7)
Net profit (controlling)	2,245	2,150	(4.3)	2,670	2,622	(1.8)	3,092	3,036	(1.8)
Adjusted EPS (KRW)	12,775	12,155	(4.9)	14,583	13,611	(6.7)	16,632	15,519	(6.7)
Margins (%)									
Operating profit	16.8	15.3		16.1	14.3		15.4	13.4	
Pre-tax profit	18.5	20.9		19.6	21.7		19.6	20.6	
Net profit	13.7	15.7		14.5	16.0		14.5	15.2	
Net profit (controlling)	13.5	15.5		14.4	15.9		14.4	15.1	

Source: Company data, Samsung Securities

Income statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Sales	**10,738**	**12,035**	**13,833**	**16,504**	**20,092**
Cost of goods sold	0	0	0	0	0
Gross profit	**10,738**	**12,035**	**13,833**	**16,504**	**20,092**
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
SG&A expenses	8,758	9,827	11,721	14,138	17,399
Operating profit	**1,979**	**2,208**	**2,112**	**2,366**	**2,693**
Operating margin (%)	18.4	18.3	15.3	14.3	13.4
Non-operating gains (losses)	**343**	**212**	**773**	**1,209**	**1,447**
Financial profit	633	807	1,299	1,551	1,773
Financial costs	579	562	543	509	514
Equity-method gains (losses)	145	495	308	414	431
Other	144	-528	-291	-247	-244
Pre-tax profit	**2,322**	**2,420**	**2,885**	**3,575**	**4,140**
Taxes	390	601	714	929	1,076
Effective tax rate (%)	16.8	24.8	24.7	26.0	26.0
Profit from continuing operations	1,932	1,819	2,172	2,645	3,064
Profit from discontinued operations	0	0	0	0	0
Net profit	**1,932**	**1,819**	**2,172**	**2,645**	**3,064**
Net margin (%)	18.0	15.1	15.7	16.0	15.2
Net profit (controlling interests)	1,923	1,953	2,150	2,622	3,036
Net profit (non-controlling interests)	9	-134	22	23	27
EBITDA	2,653	2,953	2,112	2,366	2,693
EBITDA margin (%)	24.7	24.5	15.3	14.3	13.4
EPS (parent-based) (KRW)	11,913	12,376	13,767	16,455	19,057
EPS (consolidated) (KRW)	11,967	11,524	13,906	16,602	19,227
Adjusted EPS (KRW)*	11,262	13,954	12,155	13,611	15,519

Balance sheet

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Current assets	**9,375**	**10,928**	**12,670**	**15,885**	**19,729**
Cash & equivalents	4,196	5,984	7,362	9,481	12,080
Accounts receivable	478	492	0	0	0
Inventories	22	20	39	48	58
Other current assets	4,680	4,433	5,269	6,357	7,591
Fixed assets	**28,793**	**30,156**	**33,870**	**34,994**	**36,190**
Investment assets	20,910	21,394	23,274	24,399	25,594
Tangible assets	2,910	3,608	4,123	4,123	4,123
Intangible assets	3,657	3,421	4,662	4,662	4,662
Other long-term assets	1,316	1,733	1,811	1,811	1,811
Total assets	**38,168**	**41,084**	**46,539**	**50,879**	**55,918**
Current liabilities	**6,092**	**8,019**	**8,136**	**9,678**	**11,427**
Accounts payable	0	0	0	0	0
Short-term debt	135	132	764	764	764
Other current liabilities	5,957	7,887	7,371	8,913	10,663
Long-term liabilities	**5,075**	**4,113**	**6,198**	**6,745**	**7,367**
Bonds & long-term debt	2,870	1,256	2,825	2,825	2,825
Other long-term liabilities	2,204	2,856	3,372	3,920	4,542
Total liabilities	**11,167**	**12,131**	**14,333**	**16,423**	**18,794**
Owners of parent equity	**25,460**	**27,582**	**30,705**	**32,932**	**35,573**
Capital stock	16	16	16	16	16
Capital surplus	1,423	1,586	1,609	1,609	1,609
Retained earnings	25,965	27,626	29,421	31,648	34,289
Other	-1,944	-1,647	-341	-341	-341
Non-controlling interests' equity	**1,541**	**1,371**	**1,501**	**1,524**	**1,551**
Total equity	**27,001**	**28,953**	**32,206**	**34,456**	**37,125**
Net debt	-3,321	-4,221	-4,386	-6,955	-10,065

Cash flow statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Cash flow from operations	**2,590**	**3,096**	**3,038**	**4,071**	**4,676**
Net profit	1,932	1,819	2,172	2,645	3,064
Non-cash profit and expenses	1,003	1,362	921	629	698
Depreciation	609	680	0	0	0
Amortization	65	65	0	0	0
Other	329	617	921	629	698
Changes in A/L from operating activities	152	462	488	1,443	1,637
Cash flow from investments	**-1,340**	**-744**	**-1,354**	**-520**	**-591**
Change in tangible assets	-522	-1,220	-794	0	0
Change in financial assets	-2,225	449	275	-550	-624
Other	1,407	28	-835	29	32
Cash flow from financing	**-770**	**-524**	**187**	**-459**	**-451**
Change in debt	-377	372	1,051	73	83
Change in equity	180	164	23	0	0
Dividends	-119	-168	-394	-395	-395
Other	-454	-891	-493	-137	-139
Change in cash	619	1,788	1,378	2,118	2,599
Cash at beginning of year	3,576	4,196	5,984	7,362	9,481
Cash at end of year	4,196	5,984	7,362	9,481	12,080
Gross cash flow	**2,935**	**3,181**	**3,092**	**3,274**	**3,762**
Free cash flow	**2,036**	**1,861**	**2,228**	**4,071**	**4,676**

Financial ratios

Year-end Dec 31	2024	2025	2026E	2027E	2028E
Growth (%)					
Sales	11.0	12.1	14.9	19.3	21.7
Operating profit	32.9	11.6	-4.4	12.0	13.8
Net profit	96.1	-5.9	19.4	21.8	15.8
Adjusted EPS**	60.9	23.9	-12.9	12.0	14.0
Per-share data (KRW)					
EPS (parent-based)	11,913	12,376	13,767	16,455	19,057
EPS (consolidated)	11,967	11,524	13,906	16,602	19,227
Adjusted EPS**	11,262	13,954	12,155	13,611	15,519
BVPS	170,953	184,396	195,455	209,629	226,442
DPS (common)	1,130	2,630	2,515	2,515	2,515
Valuations (x)					
P/E***	17.7	17.4	14.8	13.2	11.6
P/B***	1.2	1.3	0.9	0.9	0.8
EV/EBITDA	11.2	11.9	11.6	9.3	7.0
Ratios (%)					
ROE	7.9	7.4	7.4	8.2	8.9
ROA	5.2	4.6	5.0	5.4	5.7
ROIC	39.7	37.7	28.6	29.0	39.2
Payout ratio	8.8	20.2	18.4	15.1	13.0
Dividend yield (common)	0.6	1.1	1.4	1.4	1.4
Net debt to equity	-12.3	-14.6	-13.6	-20.2	-27.1
Interest coverage (x)	18.9	20.3	15.6	17.3	19.4

Note: *Excluding one-off items
**Fully diluted, excluding one-off items
***From companies subject to equity-method valuation

Source: Company data, Samsung Securities estimates

COMPANY UPDATE

2026. 10. 19

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Kakao (035720)

To enter personal AI agent market

- Kakao's launch of Kanana Space signals upcoming competition with global services in the personal AI agent market.
- The new AI agent's ability to integrate and execute actions with external websites needs to be verified. We recommend holding off investing in the firm until post-spin-off operational efficiency gains are evident.

WHAT'S THE STORY?

Challenging personal AI agent market with Kanana Space: Kakao has unveiled a new AI agent strategy centered on: 1) Kanana Space, an action-oriented AI agent based on voice and text requests; 2) Kanvas, a PC-control agent; and 3) Kanana in KakaoTalk, which focuses on KakaoTalk conversations. The new services aim to expand into general-purpose personal AI agents that connect users to external services based on conversations and personalized information.

External service execution is key: The core competitiveness of a personal AI agent lies in its ability to perform actual tasks (such as bookings, purchases, and payments) on external websites. While Kakao's AI agents are currently limited to accessing services offered by Kakao, the firm plans to integrate external websites using A2A and MCP protocols. Although Kakao also plans to introduce browser control via virtual machine (VM) in the long run, it remains to be seen how quickly it can deliver a highly polished service given its limited computing infrastructure.

(Continued on the next page)

AT A GLANCE

HOLD

Target price	KRW35,000	9.9%
Current price	KRW31,850	
Market cap	KRW14.1t/USD10.6b	
Shares (float)	443,000,510 (75.8%)	
52-week high/low	KRW67,700/KRW31,000	
Avg daily trading value (60-day)	KRW70.1b/ USD52.6m	

ONE-YEAR PERFORMANCE

	1M	6M	12M
Kakao (%)	-4.9	-37.1	-45.6
Vs Kospi (%pts)	12.7	-30.9	-64.1

KEY CHANGES

(KRW)	New	Old	Diff
Recommend.	HOLD	HOLD	
Target price	35,000	40,000	-12.5%
2026E EPS	1,164	1,152	1.1%
2027E EPS	2,225	2,183	2.0%

SAMSUNG vs THE STREET

No of estimates	21
Target price	51,548
Recommendation	3.9

※ Rating: 4 < → BUY, 3 = HOLD, 2 > → SELL

SUMMARY FINANCIAL DATA

	2025	2026E	2027E	2028E
Revenue (KRWb)	8,099	8,236	8,874	9,508
Operating profit (KRWb)	732	1,032	1,214	1,371
Net profit (adj) (KRWb)	518	555	969	1,128
EPS (adj) (KRW)	1,550	1,164	2,225	2,527
EPS (adj) growth (% y-y)	47.0	-24.9	91.2	13.6
EBITDA margin (%)	19.4	22.1	23.0	23.9
ROE (%)	4.6	3.8	6.9	7.5
P/E (adj) (x)	38.8	27.4	14.3	12.6
P/B (x)	2.3	1.2	1.1	1.0
EV/EBITDA (x)	16.4	5.6	4.9	4.4
Dividend yield (%)	0.1	0.3	0.3	0.3

Source: Company data, Samsung Securities estimates

Needs to prove post-spin-off synergies: Kakao plans to proceed with its scheduled separation into KakaoX and KakaoAI in early 2027. To secure competitive AI agents, the seamless integration of agent social graphs, transaction data, and payment infrastructure is critical. Post-spin-off, the company must demonstrate its ability to resolve cross-entity challenges (*eg*, service interoperability, data sharing, and revenue allocation) while simultaneously enhancing the operational efficiency of each entity.

Short-term earnings weak—wait for signs of improvement: We maintain our HOLD rating on Kakao and cut our target price by 12.5% from KRW 40,000 to KRW 35,000 (based on a SOTP valuation), reflecting its current earnings weakness. While sales growth at its existing businesses is decelerating, just how well Kakao Space is able to compete against global AI agents like Muse remains unclear. Also, it is uncertain whether post-spin-off operational efficiency improvements will offset the loss of synergies stemming from the corporate separation. We suggest waiting for clearer signs of earnings growth or resolution of separation-related uncertainties before adding exposure.

3Q preview:
Sales growth at existing businesses slows, new business development costs rise

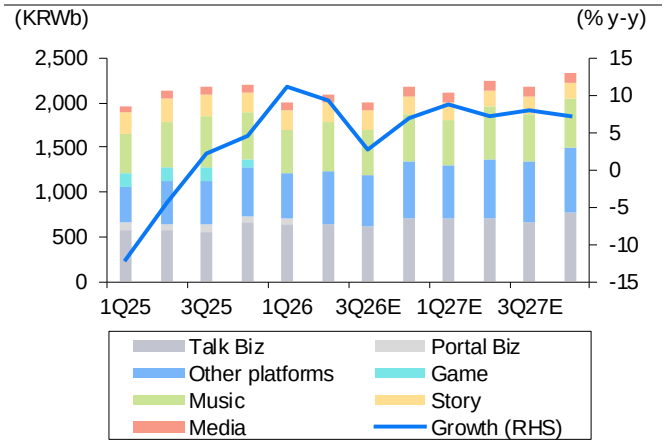
We believe Kakao's sales growth slowed to 2.6% y-y and its operating profit growth eased to 6.1% y-y in 3Q due in part to the high base (strong brand message ad sales through 2Q) alongside higher operating costs from new AI service development (*eg*, outsourcing and infrastructure spending). KakaoTalk ad sales likely rose just 8% y-y, pressured by a high base (3Q25—when brand message ads and livelihood recovery consumption coupon notification ads were first rolled out). Commerce sales likely increased 8.5% y-y, as some *Chuseok* (Korean Thanksgiving) gift sales were likely recognized later than usual. Kakao Pay's sales likely dropped 4.2% q-q, as securities trading volume has been falling since July, with y-y securities trading volume growth likely cooling to 34.7% y-y. At Kakao Mobility, sales likely grew 11% y-y, fueled by robust demand for quick delivery services, but its operating margin likely tightened to the low teens due to a hike in new business sales (as a portion of the division's total sales). Music sales likely declined 9% y-y on reduced activities by SM Entertainment's key artists, while story sales likely slid 15% y-y amid continued market weakness. Weighed down by sluggish sales and rising AI service development costs, Kakao's 3Q operating profit likely grew a modest 6.1% y-y to KRW237.5b, missing consensus by 10.5%.

3Q26 preview

(KRWb)	3Q26			Diff (%)		3Q25	2Q26	Chg	
	New	Old	Consensus	Samsung	Consensus			(% y-y)	(% q-q)
Sales	**2,013.3**	**2,171.9**	**2,088.9**	**(7.3)**	**(3.6)**	**1,962.2**	**2,098.5**	**2.6**	**(4.1)**
Platform	1,192.5	1,261.9		(5.5)		1,059.7	1,230.3	12.5	(3.1)
Talk Biz	608.1	650.2		(6.5)		561.7	643.2	8.3	(5.5)
Portal Biz	0.0	0.0		nm		72.7	0.0	Nm	nm
Other platforms	584.4	611.7		(4.5)		497.9	587.0	17.4	(0.4)
Content	820.7	910.1		(9.8)		902.6	868.2	(9.1)	(5.5)
Game	0.0	0.0		nm		154.3	0.0	nm	nm
Music	514.5	610.7		(15.7)		565.4	558.4	(9.0)	(7.9)
Story	205.1	198.4		3.4		241.3	210.7	(15.0)	(2.7)
Media	101.0	101.0		0.0		95.8	99.1	5.4	2.0
Operating expenses	**1,775.7**	**1,889.2**		**(6.0)**		**1,738.4**	**1,821.4**	**2.1**	**(2.5)**
Labor costs	456.6	479.0		(4.7)		428.6	448.0	6.5	1.9
Cost of sales	708.6	760.0		(6.8)		698.0	745.9	1.5	(5.0)
Marketing costs	80.5	97.7		(17.6)		91.6	96.6	(12.1)	(16.6)
Outsourcing/infra	231.5	238.9		(3.1)		245.2	223.1	(5.6)	3.8
D&A expenses	191.4	191.4		0.0		194.9	191.5	(1.8)	(0.1)
Other	107.0	122.1		(12.4)		80.1	116.3	33.5	(8.0)
Operating profit	**237.5**	**282.7**	**265.5**	**(16.0)**	**(10.5)**	**223.8**	**277.0**	**6.1**	**(14.3)**
Pre-tax profit	295.6	337.4	337.0	(12.4)	(12.3)	159.4	239.4	85.4	23.5
Net profit	224.6	256.5	253.0	(12.4)	(11.2)	192.9	18.0	16.5	1,149.4
Net profit (controlling)	190.9	218.0	207.4	(12.4)	(8.0)	124.9	16.3	52.8	1,069.1
Margins (%)									
Operating profit	11.8	13.0	12.7			11.4	13.2		
Pre-tax profit	14.7	15.5	16.1			8.1	11.4		
Net profit	11.2	11.8	12.1			9.8	0.9		
Net profit (controlling)	9.5	10.0	9.9			6.4	0.8		

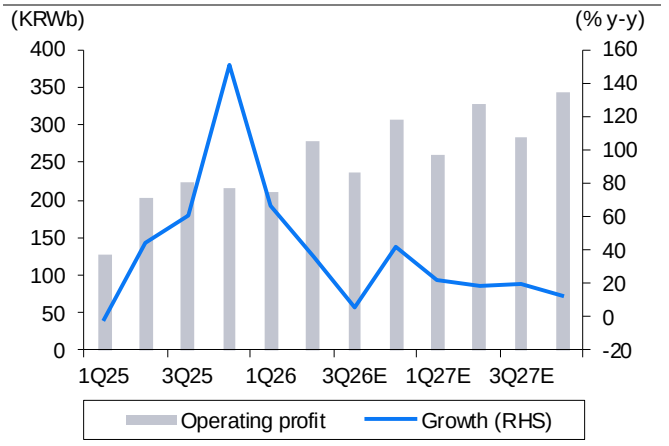
Source: Company data, FnGuide, Samsung Securities estimates

Quarterly sales, by division



Source: Company data, Samsung Securities estimates

Quarterly operating profit



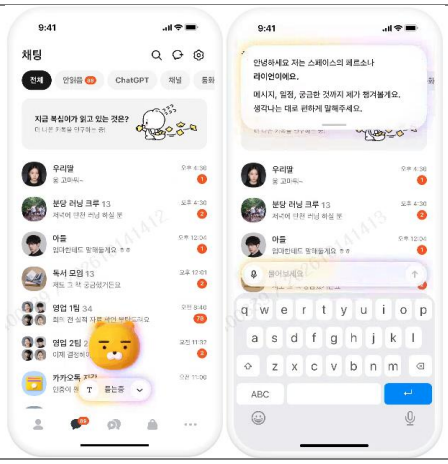
Source: Company data, Samsung Securities estimates

Kakao AI service comparison

Category	Kanana in KakaoTalk	Kanna Space	Kanvas
Core Concept	AI assistant based on KakaoTalk conversations	Personalized integrated AI agent	PC-based executable AI agent
Main purpose	Understanding conversation context and providing proactive information	Daily management and service connection/execution	Automated execution of complex tasks
Usage Environment	Existing KakaoTalk conversations and Friends tab	Separate AI space within KakaoTalk	PC-based independent work environment
AI operation method	Analysis of conversation context and proactive suggestions	Tool selection and execution based on user requests	Collaboration among multiple agents and browser manipulation
External service connectivity	Limited, individual integration via A2A	Centered on Kakao services A2A, MCP-based external expansion plans	Leverage of external web services via browser
Key functions	Schedule and appointment tracking, proactive messaging, and information recommendations	Message transmission, search, schedule management, reservations, orders, and money transfers	Agent creation, task allocation, and multi-step workflow automation
Personalization level	Based on conversation context	Based on individual context and service usage information	Agent configuration by business purpose
Core Competitiveness	KakaoTalk conversation data	KakaoTalk accessibility, service ecosystem	Scope of external service execution and workflow automation
Key limitations	Constraints on performing complex tasks	Verification of external service connectivity and execution capability is required.	Execution accuracy, security, and operating costs
Launch schedule	Official launch in Mar 2026	December 2026 private beta test	Planned integration with KakaoTalk in 1H27

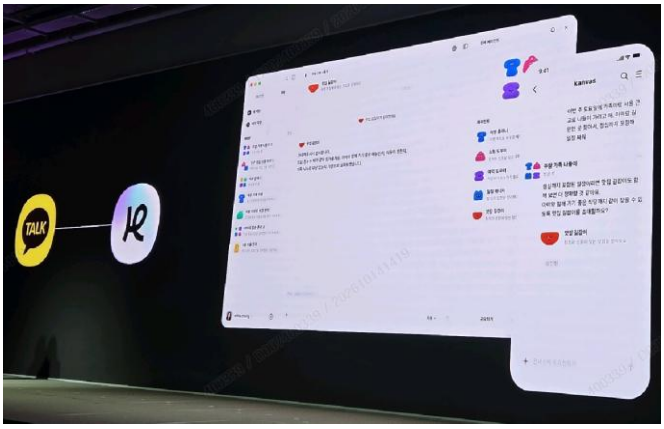
Source: Company data, Samsung Securities

Universal AI Agent in KakaoTalk, Kanna Space



Source: Company data

PC control AI agent Kanvas



Source: Company data

Kakao: Valuation

(KRWb)	
Combined enterprise value (A+B)	**15,508**
KakaoX (A)	8,564
KakaoAI (B)	6,944
Shares outstanding ('000)	442,809
Fair value per share (KRW)	35,022
Target price (KRW)	**35,000**
Current price	31,700
Upside (%)	10.4

Note: As of Oct 14
Source: Samsung Securities estimates

KakaoX: Enterprise value

(KRWb)		Note
Enterprise value (A=B*(1-C))	**8,564**	
NAV discount rate (%) (C)	40	
Total net asset value (NAV) (B)	**14,274**	
Kakao Bank	**2,591**	
Market cap	9,542.0	As of Oct 14
Stake (%)	27	
Kakao Pay	**2,257**	
Market cap	4,898.0	As of Oct 14
Stake (%)	46	
SM Entertainment	**393**	
Market cap	1,820.0	As of Oct 14
Stake (%)	22	
Kakao Entertainment	**2,686**	
Sales	1,738	2025 sales
P/S (x)	1.5	Average 2026 P/S of entertainment peers
Mobility	**2,533**	
Net profit	119	1H26 Net Income*2
P/E (x)	21	Average 2026 P/E of mobility peers
Piccoma	**1,000**	
Sales	574	2025 sales
P/S (x)	1.7	Webtoon platform peer average P/S for '26E
Kakao Investment	**2,365**	
Net assets	2,365	Total assets minus total liabilities as of 2025
P/B (x)	1.0	
Kakao Ventures	**449**	Total assets minus total liabilities as of 2025
Net assets	449	
P/B (x)	1.0	

Source: Bloomberg, company data, Samsung Securities estimates

KakaoAI: Valuation

(KRWb)		Note
Enterprise value (A*B)	**6,944**	
Annual operating profit	470	12-month trailing
Estimated annual net income (A)	376	Assumes corporate tax rate of 20%
Target P/E (B)	18.5	2026 global platform peer average

Source: Bloomberg, company data, Samsung Securities estimates

Kakao: Share-price sensitivity to holding company discount

Holding company discount rate	30%	40%(base case)	50%	60%
KakaoX value (KRWb)	9,992	8,564	7,137	5,710
Kakao total enterprise value (KRWb)	16,936	15,508	14,081	12,653
Fair price per share (KRW)	**38,000**	**35,000**	**32,000**	**29,000**

Source: Samsung Securities estimates

Mobile platform and AI peer valuations

(x)	2026 P/E	2027E P/E
Alphabet	18.2	21.5
Meta Platforms	20.7	18.9
Tencent	12.5	11.8
LY Corporation	18.7	17.2
Alibaba	22.3	16.8
Average	**18.5**	**17.2**

Note: As of Oct 14
Source: Bloomberg

Entertainment peer valuations

(x)	2026E P/S	2027E P/S
Hybe	1.4	1.5
JYP	1.6	1.5
YG	1.2	1.3
Webtoon Ent.	1.1	0.9
China Literature	2.4	2.3
CJ E&M	0.1	0.1
Studio Dragon	1.0	0.9
Average	**1.5**	**1.5**

Note: As of Oct 14
Source: Bloomberg

Webtoon platform peer valuations

(x)	2026E P/S	2027E P/S
Webtoon Ent.	1.1	0.9
China Literature	2.4	2.3
Average	**1.7**	**1.6**

Note: As of Oct 14
Source: Bloomberg

Mobility platform peer valuations

(x)	2026 P/E	2027E P/E
Uber	20.5	15.6
Lyft	12.6	8.1
GoTo	29.6	20.4
Grab	22.2	18.3
Average	**21.2**	**15.6**

Note: As of Oct 14
Source: Bloomberg

Quarterly results and forecasts

(KRWb)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Sales	**1,748**	**1,917**	**1,962**	**2,042**	**1,942**	**2,098**	**2,013**	**2,182**	**2,111**	**2,249**	**2,173**	**2,341**
Platform	993	1,055	1,060	1,200	1,153	1,230	1,193	1,336	1,307	1,359	1,347	1,490
Talk Biz	583	573	562	653	630	643	608	716	698	700	657	762
Portal Biz	74	78	73	72	68	0	0	0	0	0	0	0
Other platforms	410	482	498	546	523	587	584	621	608	659	689	728
Content	755	862	903	842	789	868	821	846	804	890	826	852
Game	145	143	154	98	0	0	0	0	0	0	0	0
Music	438	518	565	526	485	558	515	547	510	592	535	563
Story	241	250	241	221	211	211	205	195	194	195	186	181
Media	75	94	96	96	92	99	101	104	101	103	105	107
Operating expenses	**1,621**	**1,714**	**1,738**	**1,826**	**1,731**	**1,821**	**1,776**	**1,876**	**1,852**	**1,921**	**1,889**	**1,998**
Labor costs	426	439	429	455	445	448	457	474	465	467	469	483
Cost of sales	659	679	698	740	701	746	709	764	741	777	743	793
Marketing costs	75	79	92	109	73	97	81	87	91	108	100	122
Outsourcing/infra	190	218	245	238	208	223	232	240	245	252	250	262
D&A expenses	193	209	195	192	197	192	191	197	201	205	210	214
Other	78	90	80	92	107	116	107	112	109	112	118	124
Operating profit	**127**	**204**	**224**	**216**	**211**	**277**	**238**	**307**	**259**	**328**	**284**	**344**
Pre-tax profit	223	230	159	-30	287	239	296	113	327	411	368	169
Net profit	200	172	193	-47	227	18	225	86	249	312	280	128
Net profit (controlling)	172	161	125	33	172	16	191	60	224	281	252	103
Adjusted EPS (KRW)	348	409	358	-152	338	19	476	331	545	654	590	437
Margins (%)												
Operating profit	7.3	10.6	11.4	10.6	10.9	13.2	11.8	14.0	12.3	14.6	13.1	14.7
Pre-tax profit	12.8	12.0	8.1	(1.5)	14.8	11.4	14.7	5.2	15.5	18.3	16.9	7.2
Net profit	11.5	9.0	9.8	(2.3)	11.7	0.9	11.2	3.9	11.8	13.9	12.9	5.5
Net profit (controlling)	9.8	8.4	6.4	1.6	8.8	0.8	9.5	2.8	10.6	12.5	11.6	4.4

Source: Company data, Samsung Securities estimates

Revisions to full-year forecasts

(KRWb)	2026E			2027E			2028E		
	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Sales	**8,458**	**8,236**	**(2.6)**	**9,276**	**8,874**	**(4.3)**	**10,046**	**9,508**	**(5.4)**
Platform	5,030	4,912	(2.3)	5,729	5,502	(4.0)	6,338	6,076	(4.1)
Talk Biz	2,657	2,597	(2.2)	2,895	2,818	(2.7)	3,108	3,026	(2.7)
Portal Biz	68	68	0.0	0	0	n/a	0	0	n/a
Other platforms	2,373	2,315	(2.4)	2,834	2,684	(5.3)	3,230	3,050	(5.6)
Content	3,429	3,324	(3.1)	3,547	3,372	(4.9)	3,708	3,432	(7.4)
Game	0	0	n/a	0	0	n/a	0	0	n/a
Music	2,228	2,105	(5.5)	2,400	2,200	(8.3)	2,586	2,294	(11.3)
Story	804	822	2.2	730	756	3.5	691	708	2.4
Media	397	397	0.0	416	416	0.0	431	431	0.0
Operating expenses	**7,420**	**7,204**	**(2.9)**	**8,050**	**7,660**	**(4.8)**	**8,711**	**8,136**	**(6.6)**
Labor costs	1,889	1,824	(3.4)	2,072	1,883	(9.1)	2,260	1,977	(12.5)
Cost of sales	2,981	2,920	(2.1)	3,151	3,054	(3.0)	3,328	3,187	(4.2)
Marketing costs	379	337	(11.1)	440	420	(4.3)	507	480	(5.3)
Outsourcing/infra	919	903	(1.8)	1,030	1,009	(2.0)	1,133	1,081	(4.6)
D&A expenses	777	777	0.0	830	830	0.0	899	899	0.0
Other	474	443	(6.5)	528	463	(12.4)	585	513	(12.4)
Operating profit	**1,039**	**1,032**	**(0.6)**	**1,226**	**1,214**	**(0.9)**	**1,335**	**1,371**	**2.7**
Pre-tax profit	713	935	31.1	1,243	1,275	2.6	1,396	1,484	6.3
Net profit	544	555	2.1	945	969	2.6	1,061	1,128	6.3
Net profit (controlling)	436	439	0.7	840	859	2.3	948	1,006	6.1
Adjusted EPS (KRW)	1,152	1,164	1.1	2,183	2,225	2.0	2,396	2,527	5.5
Margins (%)									
Operating profit	12.3	12.5		13.2	13.7		13.3	14.4	
Pre-tax profit	8.4	11.3		13.4	14.4		13.9	15.6	
Net profit	6.4	6.7		10.2	10.9		10.6	11.9	
Net profit (controlling)	5.2	5.3		9.1	9.7		9.4	10.6	

Source: Company data, Samsung Securities estimates

Income statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Sales	**7,864**	**8,099**	**8,236**	**8,874**	**9,508**
Cost of goods sold	0	0	0	0	0
Gross profit	**7,864**	**8,099**	**8,236**	**8,874**	**9,508**
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
SG&A expenses	7,369	7,367	7,204	7,660	8,136
Operating profit	**495**	**732**	**1,032**	**1,214**	**1,371**
Operating margin (%)	6.3	9.0	12.5	13.7	14.4
Non-operating gains (losses)	**-498**	**-119**	**-98**	**61**	**113**
Financial profit	405	393	384	452	465
Financial costs	368	398	347	418	449
Equity-method gains (losses)	56	90	150	176	195
Other	-592	-204	-285	-149	-99
Pre-tax profit	**-3**	**613**	**935**	**1,275**	**1,484**
Taxes	160	95	312	306	356
Effective tax rate (%)	-5,701.5	15.5	33.4	24.0	24.0
Profit from continuing operations	-111	527	793	969	1,128
Profit from discontinued operations	-51	-9	-238	0	0
Net profit	**-162**	**518**	**555**	**969**	**1,128**
Net margin (%)	-2.1	6.4	6.7	10.9	11.9
Net profit (controlling interests)	55	491	439	859	1,006
Net profit (non-controlling interests)	-217	26	116	110	122
EBITDA	1,331	1,572	1,819	2,044	2,270
EBITDA margin (%)	16.9	19.4	22.1	23.0	23.9
EPS (parent-based) (KRW)	124	1,110	992	1,940	2,270
EPS (consolidated) (KRW)	-365	1,170	1,254	2,188	2,547
Adjusted EPS (KRW)*	1,054	1,550	1,164	2,225	2,527

Balance sheet

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Current assets	**10,722**	**12,374**	**15,683**	**16,292**	**16,731**
Cash & equivalents	6,170	6,374	8,127	8,043	7,693
Accounts receivable	549	569	591	639	692
Inventories	81	77	80	86	92
Other current assets	3,922	5,354	6,885	7,524	8,254
Fixed assets	**15,051**	**15,409**	**12,685**	**13,731**	**15,075**
Investment assets	5,750	6,066	4,959	5,922	7,176
Tangible assets	1,363	1,557	1,663	1,723	1,788
Intangible assets	5,171	5,228	3,654	3,677	3,701
Other long-term assets	2,768	2,559	2,410	2,410	2,410
Total assets	**25,773**	**27,784**	**28,368**	**30,023**	**31,805**
Current liabilities	**8,545**	**8,780**	**10,422**	**11,111**	**11,769**
Accounts payable	228	228	0	0	0
Short-term debt	1,458	938	975	975	975
Other current liabilities	6,859	7,613	9,447	10,136	10,794
Long-term liabilities	**3,285**	**3,779**	**2,562**	**2,604**	**2,643**
Bonds & long-term debt	328	991	335	335	335
Other long-term liabilities	2,957	2,788	2,227	2,269	2,308
Total liabilities	**11,830**	**12,559**	**12,984**	**13,715**	**14,413**
Owners of parent equity	**10,141**	**11,276**	**12,033**	**12,848**	**13,810**
Capital stock	44	44	44	44	44
Capital surplus	8,911	8,803	8,785	8,785	8,785
Retained earnings	1,943	2,685	4,206	5,021	5,983
Other	-758	-256	-1,002	-1,002	-1,002
Non-controlling interests' equity	**3,802**	**3,949**	**3,351**	**3,460**	**3,583**
Total equity	**13,943**	**15,225**	**15,384**	**16,309**	**17,392**
Net debt	-3,384	-4,792	-7,243	-7,524	-7,611

Cash flow statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Cash flow from operations	**1,250**	**1,405**	**1,349**	**2,157**	**2,300**
Net profit	-162	518	555	969	1,128
Non-cash profit and expenses	1,462	1,014	788	878	965
Depreciation	576	583	571	602	652
Amortization	260	258	215	228	247
Other	627	174	2	48	66
Changes in A/L from operating activities	-4	-106	-154	403	345
Cash flow from investments	**10**	**-478**	**937**	**-1,393**	**-1,529**
Change in tangible assets	-348	-465	-555	-662	-717
Change in financial assets	164	-843	-1,617	-535	-598
Other	194	830	3,109	-196	-214
Cash flow from financing	**-521**	**-708**	**-250**	**-86**	**-98**
Change in debt	-36	-404	874	144	137
Change in equity	71	-108	-19	0	0
Dividends	-43	-39	-104	-44	-44
Other	-513	-158	-1,001	-185	-191
Change in cash	781	204	1,753	-84	-350
Cash at beginning of year	5,389	6,170	6,374	8,127	8,043
Cash at end of year	6,170	6,374	8,127	8,043	7,693
Gross cash flow	**1,300**	**1,532**	**1,343**	**1,847**	**2,093**
Free cash flow	**871**	**926**	**787**	**1,495**	**1,583**

Financial ratios

Year-end Dec 31	2024	2025	2026E	2027E	2028E
Growth (%)					
Sales	4.1	3.0	1.7	7.7	7.1
Operating profit	7.5	47.8	41.0	17.6	12.9
Net profit	nm	nm	7.2	74.5	16.4
Adjusted EPS**	-23.8	47.0	-24.9	91.2	13.6
Per-share data (KRW)					
EPS (parent-based)	124	1,110	992	1,940	2,270
EPS (consolidated)	-365	1,170	1,254	2,188	2,547
Adjusted EPS**	1,054	1,550	1,164	2,225	2,527
BVPS	23,100	25,625	27,196	29,037	31,210
DPS (common)	68	75	100	100	100
Valuations (x)					
P/E***	36.2	38.8	27.4	14.3	12.6
P/B***	1.7	2.3	1.2	1.1	1.0
EV/EBITDA	13.0	16.4	5.6	4.9	4.4
Ratios (%)					
ROE	0.6	4.6	3.8	6.9	7.5
ROA	-0.6	1.9	2.0	3.3	3.6
ROIC	-22.5	16.0	34.8	132.6	231.4
Payout ratio	54.0	6.7	10.1	5.2	4.4
Dividend yield (common)	0.2	0.1	0.3	0.3	0.3
Net debt to equity	-24.3	-31.5	-47.1	-46.1	-43.8
Interest coverage (x)	2.4	4.1	5.7	6.6	7.2

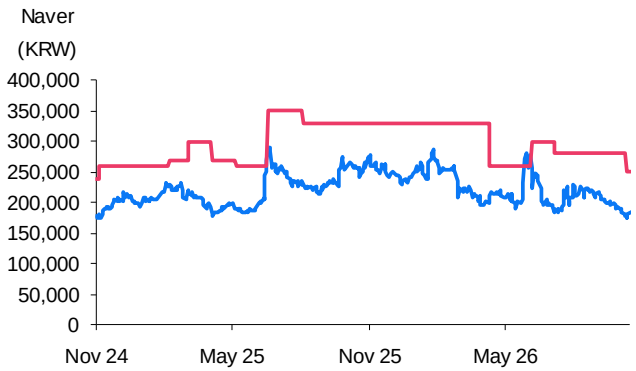
Note: *Excluding one-off items
**Fully diluted, excluding one-off items
***From companies subject to equity-method valuation

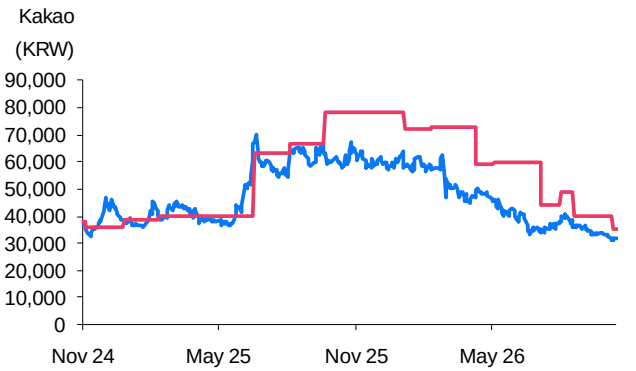
Source: Company data, Samsung Securities estimates

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Target price changes in past two years





Rating changes over past two years (adjusted share prices)

Naver												
Date	2024/8/12	11/8	2025/2/10	3/7	4/8	5/12	6/23	8/8	2026/4/15	6/9	7/10	10/14
Recommendation	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY
Target price (KRW)	240000	260000	270000	300000	270000	260000	350000	330000	260000	300000	280000	250000
Gap* (average)	-30.43	-21.66	-18.21	-31.85	-29.75	-23.69	-29.48	-26.96	-15.95	-29.05	-26.42	
(max or min)**	-25.13	-10.77	-14.26	-28.00	-25.74	3.65	-17.00	-13.03	7.88	-17.33	-18.21	
Kakao												
Date	2024/9/30	11/8	12/30	2025/2/14	6/23	8/8	9/24	2026/1/9	2/13	4/15	5/8	7/10
Recommendation	HOLD	HOLD	HOLD	HOLD	HOLD	HOLD	BUY	BUY	BUY	BUY	BUY	BUY
Target price (KRW)	38000	36000	39000	40000	63000	67000	78000	72000	73000	59000	60000	44000
Gap* (average)	-2.04	9.84	-0.25	5.22	-6.72	-6.11	-22.40	-17.97	-30.41	-18.29	-34.76	-17.99
(max or min)**	3.68	29.44	16.15	66.50	-14.13	0.00	-13.21	-13.61	-14.66	-14.24	-23.42	-13.30
Date	8/6	8/24	10/14									
Recommendation	BUY	HOLD	HOLD									
Target price (KRW)	49000	40000	35000									
Gap* (average)	-20.42	-13.88										
(max or min)**	-16.94	-7.88										

Note: * [(average, maximum, or minimum share price over duration of target price minus target price) / target price] x 100%
** Maximum/minimum share price if new target is higher/lower than market close on the business day prior to target price change

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SELL	Expected to decrease in value by 15% or more within 12 months

Industry

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NEUTRAL	Expected to outperform/underperform market by less than 5% within 12 months
UNDERWEIGHT	Expected to underperform market by 5% or more within 12 months

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BUY (86.3%)·HOLD (13.7%)·SELL (0%)

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